



National Development
and Social Fund

ANNUAL REPORT AND FINANCIAL STATEMENTS

31 December 2025

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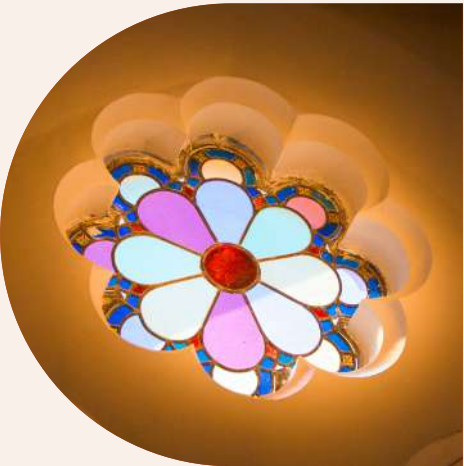
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Board of Governors' report

For the year ended 31 December 2025

The National Development and Social Fund ("NDSF", "Fund" or "Agency") was established on 6 January 2015, by virtue of Subsidiary Legislation 188.03, "Individual Investor Programme of the Republic of Malta Regulations" made under the Maltese Citizenship Act Cap. 188. Article 13 of the Regulations lays down the founding provisions for the establishment and governance of the Fund.

Subsidiary Legislation 595.12 - "National Development and Social Fund (Establishment as an Agency)" was enacted to implement the provisions of article 13 of the "Individual Investor Programme of the Republic of Malta Regulations" wherein it is established that the National Development and Social Fund shall have a separate legal personality. The NDSF was therefore established as a government agency in terms of article 36 (1) of the Public Administration Act Cap. 595.

Founding Regulation:

Article 13 of the Individual Investor Programme of the Republic of Malta Regulations S.L. 188.03

Article 13 of the Individual Investor Programme of the Republic of Malta Regulations establishes that there shall be a fund to be known as the National Development and Social Fund. In the carrying out of its functions and duties, the Fund previously received from Identity Malta Agency, the Malta Individual Investor Programme Agency (MIIPA), the Community Malta Agency and Residency Malta Agency (other Government Agencies), such percentage of the amounts of money payable to the Fund from the revenue received from the programme (as amended by Legal Notice 440 of 2020) under the Individual Investor Programme (IIP) shall be paid. The Programme was discontinued during 2025 following the Court of Justice ruling.

The funds received by the NDSF shall be used in the public interest inter alia for the advancement of education, research, innovation, social purposes, justice and the rule of law, employment initiatives, the environment and public health.

The Fund shall have a separate legal personality and notwithstanding any other law, the Fund shall be administered by the Board of Governors consisting of seven (7) members of whom one shall be the Chairman and another shall be the Deputy Chairman who shall be appointed by the Cabinet of Ministers: Provided that two (2) members of the Board of Governors shall be nominated by the Minister responsible for citizenship. The Board of Governors of the Fund shall be responsible to ensure the highest level of governance of the Fund and that the funds held in the Fund are used solely for the said intended purposes. The first Board of Governors of the NDSF was appointed in September 2015.

The NDSF is required to publish its audited accounts on an annual basis and shall report to the Minister responsible for Finance on its activities not less than once a year. The audited accounts and the annual report of the Fund shall be laid on the table of the House of Representatives by the Minister responsible for Finance. The Fund is also subject to being audited by the Auditor General.

Implementing Order:

National Development and Social Fund (Establishment as an Agency) Order S.L. 595.12

On 6 January 2015 by means of Implementing Order S.L. 595.12 ("the Order") the NDSF was established as a government agency reporting to the Office of the Prime Minister. The Implementing Order also lays down the functions and duties of the NDSF namely:

- (a) to contribute to major projects of national importance;
- (b) to assist in projects and initiatives in the public interest, by inter alia promoting and supporting the advancement of education, research, innovation, justice and the rule of law, employment and public health;
- (c) to contribute to the development of better public services;
- (d) to support enterprise and business in improving its competitiveness;
- (e) to promote research and development in matters conducive to the public interest;
- (f) to help stakeholders to deliver social, employment and educational projects;
- (g) to foster initiatives that support reforms and better governance;
- (h) to support measures for the improvement of the fairness and efficiency of justice;
- (i) to foster initiatives encouraging gender equality, prevention of discrimination, and respect for human rights;
- (j) to assist initiatives to provide for the social housing needs of the population and to combat social exclusion;
- (k) to sponsor initiatives for the improvement of health, healthcare and care for the elderly; and
- (l) to undertake initiatives for the benefit of future generations.

Regulatory developments

On 20 November 2020, new regulations which allow for the granting of Maltese citizenship for exceptional services were published. Together with these regulations, a new agency, Community Malta was also established to take over all the processes and functions relating to the acquisition of Maltese citizenship which were previously being conducted by the Malta Individual Investor Programme Agency and Identity Malta Agency.

At the same time, the Individual Investor Program (IIP) regulations have been repealed, and only individuals who had started their application process were being allowed to submit applications under this legal regime. This was done in view that the established cap of 1,800 families was fast being reached.

The new regulations which established the Community Malta Agency (Legal Notice 437 of 2020) allow for the Agency to transmit funds generated under the granting of Maltese Citizenship for Exceptional Services Regulations. Therefore, the NDSF will continue to receive funds under both the IIP and the new Citizenship regulations, until current pending applications are processed and completed.

On 29 April 2025, the Grand Chamber, Court of Justice of the European Union delivered its judgment in case C-181/23 brought by the European Commission against Malta whereby the Court declared that Malta's framework of the acquisition of citizenship by investment amounts to the commercialisation of the grant of the nationality of a Member State and, by extension, that of Union citizenship. Consequently, the Court also declared that such framework is in conflict with EU law. As a result, Malta repealed the related legislation, which effectively halted the Fund's main source of revenue which was generated by the apportionment to the Fund of 70% of the contributions paid by successful applicants.

The Board of Governors, while taking note of this adverse development, firmly believes that the court judgement does not impinge on the Fund's ability to continue operating and fulfilling its functions and duties, after considering the Fund's stable asset base, significant income derived from its extensive investment portfolios, and the Withdrawal Policy currently in place – which governs the manner in which distributions out of the Fund are effected. The Board of Governors and Executive Management in conjunction with the Ministry for Home Affairs, will continue to explore potential alternative sources of new funds for the NDSF.

Taking cognisance of the above factors referred to above, the use of the going concern assumption in the preparation of the financial statements is considered to be appropriate and in the Board of Governors view, no material uncertainty exists which may cast significant doubt about the Fund's ability to continue operating as a going concern in the foreseeable future.

Administration and legal constitution of the Fund

The administrative head of the NDSF Agency is the Chief Executive Officer who has the legal and judicial representation of the Fund and who acts under the direction of the Board of Governors. The Chief Executive Officer was appointed in March 2017.

The Implementing Order specifically states that Articles 28 and 29 of the Public Administration Act Cap. 595 shall not apply to NDSF. These articles relate to directives and guidelines issued by the Principal Permanent Secretary in relation to government agencies and to the general direction and control of agencies by Ministers and supervision by Permanent Secretaries.

The Order requires that the Board of Governors of the Fund shall ensure that all accountability and transparency obligations resulting from the founding regulations are strictly adhered to.

It also provides for the setting up of an Advisory Board to the Fund which shall consist of 4 persons appointed by the Minister responsible for Citizenship. The Advisory Board shall be chaired by the Chief Executive Officer. The first Advisory Board was appointed on in November 2017.

The Order requires that NDSF to enter into an Agency Performance Agreement with the Permanent Secretary in terms of article 30 (1) of the Public Administration Act Cap. 595.

The Agency Performance Agreement regulates the relationship, the communication, consultation and reporting lines between NDSF and Government. The first Agency Performance Agreement was entered into by the NDSF with the Principal Permanent Secretary for the period 1 March 2017 to the 29 February 2020 and has since been renewed to 28 February 2029.

The Board of Governors of the NDSF is autonomous but coordinates closely with government through the Ministry, to ensure that it acts in line with government policies.

Statement of Governors' responsibilities for the financial statements

In preparing the financial statements, the Governors are responsible for:

- ensuring that the financial statements have been drawn up in accordance with International Financial Reporting Standards as adopted by the EU;
- selecting and applying appropriate accounting policies;
- making accounting estimates that are reasonable in the circumstances; and
- ensuring that the financial statements are prepared on the going concern basis unless it is inappropriate to presume that the Fund will continue in business as a going concern.

The Governors are also responsible for designing, implementing, and maintaining internal control as they deem necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and that comply with of the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12). They are also responsible for safeguarding the assets of the Fund and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Review of operations

The following Report highlights the main activities and achievements of the Agency during 2025 which are sub-divided as follows:

1. Funding and Investment Strategy
2. Economic and Financial Markets Overview for 2025
3. Investment Performance Review for 2025
4. Funding targeted towards Social Projects since inception
5. Consolidated Position
6. Market Outlook for 2025

1. Funding and Investment Strategy

The NDSF Investment Policy establishes three main portfolios:

- i. Discretionary Portfolio
- ii. Directed Portfolio
- iii. Unallocated Portfolio

ESG Statement

Conscious of the global importance of sustainability factors that need to be taken into consideration when investing, the National Development and Social Fund has continued to introduce a comprehensive sustainability approach to its investments. To this effect, the first step was to implement progressively, and where possible, Environmental, Social, and Governance (ESG) criteria across the Fund's various portfolios. NDSF's portfolio managers shall consider the ESG credentials of companies, inter alia, their carbon footprint, their efficient use of resources, the fair treatment of employees, the investment in upskilling their workforce and the governance structure of the respective companies.

To further strengthen this approach, the Fund has also adopted norm-based ethical screening across all NDSFs direct holdings, referencing internationally recognised exclusion frameworks, including elements of the Norges Bank Investment Management exclusion list.

Discretionary Portfolio

The Discretionary Portfolio includes investment levels of up to 30% (Actual FY2025: 38% vs FY2024: 37%) of all funds received from Identity Malta, the Malta Individual Investor Programme Agency (MIIPA), Community Malta and Residency Malta, all being other government agencies. The NDSF has given an investment, management, custody and administration mandate to the Central Bank of Malta to manage this portfolio on a discretionary basis. The Central Bank of Malta is required to invest and hold the assets of the Fund as set out in the mandate given to it by the Fund, which includes the strategic asset allocation and tactical ranges of the investments together with the broad investment risk parameters of the portfolio. The Central Bank of Malta in accordance with the NDSF has outsourced the management of the investment portfolio to a leading global investment manager. The Discretionary Portfolio includes solely investments in high quality foreign financial instruments and locally listed securities.

The overall objective of the discretionary portfolio is the preservation of capital, and the re-investment of investment returns over the long term.

On the 1 September 2022, NDSF appointed the Central Bank of Malta (CBM) as its portfolio manager on two other discretionary portfolios, with a mandate to invest in global equity. The overall objective of this portfolio is growth and revenue generation over the long term. CBM was given another mandate to manage the Local Active Income Portfolio of the Fund, with BOVAM acting on both portfolios as its sub-investment manager.

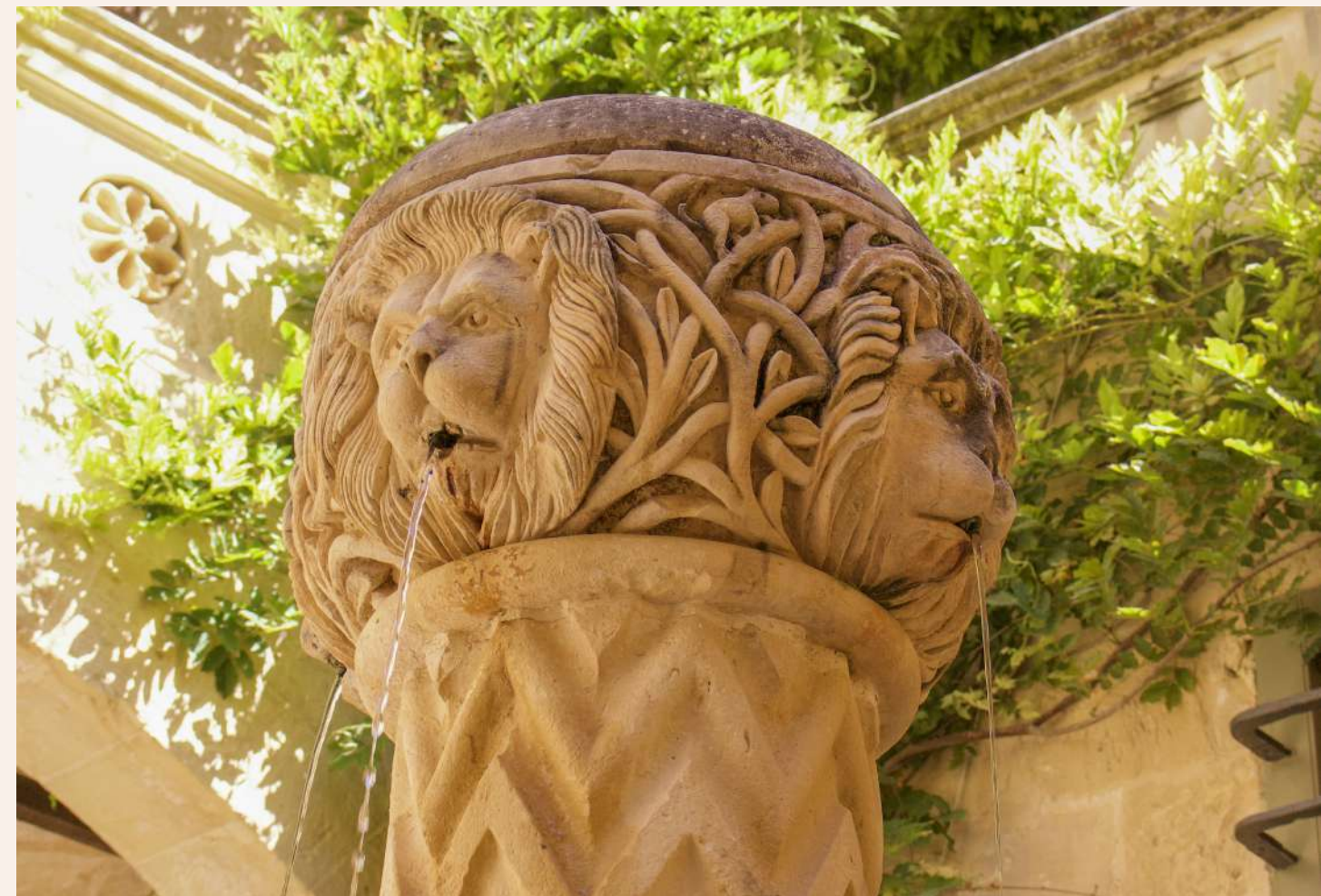
Directed Portfolio

The Directed Portfolio accounts for around 70% of all funds received from Identity Malta, the Malta Individual Investor Programme Agency (MIIPA), Community Malta Agency and Residency Malta Agency, all being other government agencies, which will be used for social and development purposes. The holding, management, directions and disposals of the directed investments must be in accordance with the provisions of S.L. 188.03 and S.L. 595.12 and must satisfy the investment criteria stated in the Investment Policy of the Fund as articulated by the Board of Governors from time to time. Any interest or other income received from investments held in the Directed Portfolio is reinvested or disbursed by the Fund as may be decided by the Board of Governors.

The Directed Portfolio is used to fund social and economic initiatives which may or may not provide a direct financial return to the Fund. In those instances when social and economic initiatives undertaken by the Fund do not have a direct financial return to the Fund, the investment will be considered as a grant with a "social or economic return". All investment proposals in respect of which there is no direct financial return to the Fund are evaluated by the Board of Governors to ensure that such investments generate a net positive social or economic impact.

Unallocated Portfolio

Funds that are not allocated to either the Discretionary Portfolio or the Directed Portfolio are retained in an Unallocated Portfolio and basically represent cash balances held in a segregated account with the Central Bank of Malta and other local banks, in the name of NDSF.



2. Economic and Financial Markets Overview for 2025

The year 2025 was characterised by continued resilience in the global economy despite heightened trade tensions, persistent geopolitical uncertainty and evolving monetary policy. While global growth moderated compared to previous years, economic activity remained supported by resilient labour markets, easing inflationary pressures and continued investment in technology and infrastructure. Nevertheless, policy uncertainty, particularly surrounding international trade and fiscal sustainability, continued to weigh on business confidence and investment decisions.

According to the Organisation for Economic Co-operation and Development (OECD), global GDP growth remained broadly resilient during 2025, although the pace of expansion slowed relative to 2024 as higher trade barriers and tighter financial conditions constrained economic activity. The International Monetary Fund (IMF) similarly highlighted that rising policy uncertainty and protectionist measures represented significant headwinds to global growth, while noting that the global economy continued to demonstrate considerable resilience.

Within the euro area, economic growth remained modest throughout the year as domestic demand gradually strengthened while external demand remained subdued. Inflation continued its downward trajectory, moving closer to the European Central Bank's (ECB) medium-term target of 2%. This improvement allowed the ECB to continue its monetary easing cycle during the first half of 2025, reducing key policy interest rates before adopting a more data-dependent approach for the remainder of the year. Although financing conditions improved, policymakers continued to emphasise the need for vigilance in light of persistent geopolitical risks and evolving trade policies.

Commodity markets experienced periods of heightened volatility during the year. Energy prices fluctuated in response to geopolitical developments and changing expectations regarding global demand, while industrial metals remained supported by structural investment linked to the energy transition, digitalisation and artificial intelligence. Gold continued to attract investor demand as a safe-haven asset amid elevated geopolitical uncertainty and fiscal concerns.

Despite the continued moderation in inflation, downside risks remained elevated. Ongoing conflicts in Eastern Europe and the Middle East, increasing trade restrictions and concerns regarding public debt sustainability continued to influence investor sentiment throughout the year. Nevertheless, easing monetary policy, resilient labour markets and continued technological innovation provided support to the global economy, resulting in a more balanced macroeconomic environment heading into 2026.

Financial markets in 2025 operated against a backdrop of improving macroeconomic fundamentals tempered by elevated policy uncertainty and geopolitical risk. As inflation continued to moderate and several major central banks adopted less restrictive monetary policies, investor sentiment improved over the course of the year, although periods of heightened volatility remained a recurring feature of global markets.

Global equity markets generally delivered positive returns during 2025, supported by resilient corporate earnings, continued investment in artificial intelligence, and expectations of lower interest rates. U.S. equities continued to outperform many international markets, benefiting from strong earnings growth within the technology sector and continued leadership in innovation. European equity markets recorded more moderate gains as weaker economic growth, slower industrial activity and ongoing geopolitical challenges weighed on investor confidence. Emerging market performance remained mixed, reflecting differing domestic economic conditions and the varying impact of global trade developments.

Global fixed-income markets benefited from the easing of monetary policy, particularly within developed markets. Lower policy rates supported bond valuations during the year, although longer-term government bond yields remained sensitive to fiscal developments, inflation expectations and government borrowing requirements. Credit markets continued to demonstrate resilience, with investment-grade corporate bonds benefiting from relatively stable credit fundamentals despite elevated issuance levels.

Currency markets remained broadly stable throughout the year, with movements largely reflecting differing monetary policy expectations among major central banks. The euro traded within a relatively narrow range against the U.S. dollar for much of the year, while other major currencies responded to changing interest-rate expectations and evolving geopolitical developments.

Commodity markets continued to exhibit mixed performance. Energy prices remained volatile as markets responded to geopolitical events and changing global demand expectations. Industrial metals benefited from structural demand associated with electrification, renewable energy and artificial intelligence-related infrastructure investment. Gold reached successive record highs during the year as investors sought safe-haven assets amid heightened geopolitical tensions and continued uncertainty regarding fiscal sustainability and long-term inflation.

Real assets continued to attract investor interest as institutions sought portfolio diversification and inflation protection. Listed real estate markets benefited from improving financing conditions as interest rates declined, although performance continued to lag global equity markets in many jurisdictions. It is against this evolving macroeconomic and financial market backdrop that the Fund's Consolidated Performance for 2025 is assessed in the following sections.



3. Investment Performance Review for FY2025

3.1 Funds received from MIIPA and Community Malta Agency

During 2025, NDSF received €50.4 million (2024: €93.6 million) from Community Malta and no proceeds were received from the Individual Investor Program (2024: nil). No funding was received from the Residency Malta Agency during 2025 (2024: €0.10 million).

The total amount of proceeds received from inception to-date amounted to €836.5 million.

3.2 Discretionary Portfolio (CBM/Allianz)

In September 2018, the Agency had concluded an Investment, Administration and Custody Agreement with the Central Bank of Malta. By means of this Agreement the Bank was awarded an Investment Mandate to manage on a discretionary basis a balanced investment portfolio of foreign securities. In turn, the Central Bank outsourced the managing of this portfolio to Allianz Global Investors.

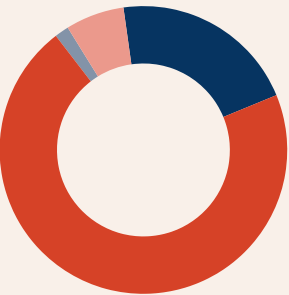
The actual asset allocation of the Discretionary CBM/Allianz Portfolio at as 31 December 2025 compared to the long-term strategic asset allocation was as follows:

(a) Actual Asset Allocation versus Strategic Asset Allocation

	Strategic Asset Allocation	Actual Asset Allocation
Cash and cash equivalents	5%	6.6%
Foreign bonds	80%	72.5%
Foreign equity	15%	21.0%
Alternate investments	0%	0%
Total	100%	100%

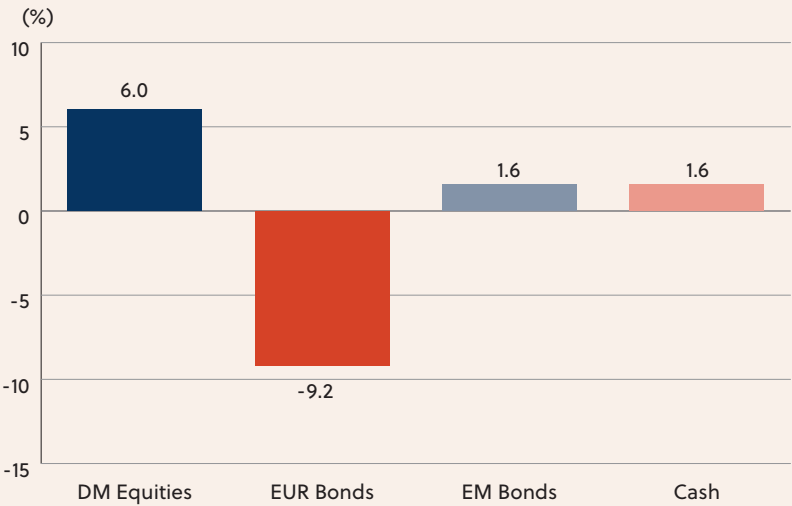
(b) Discretionary Portfolio Allocation as at 31 December 2025

Current Portfolio Allocation (%)



- DM Equities
- EUR Bonds
- EM Bonds
- Cash

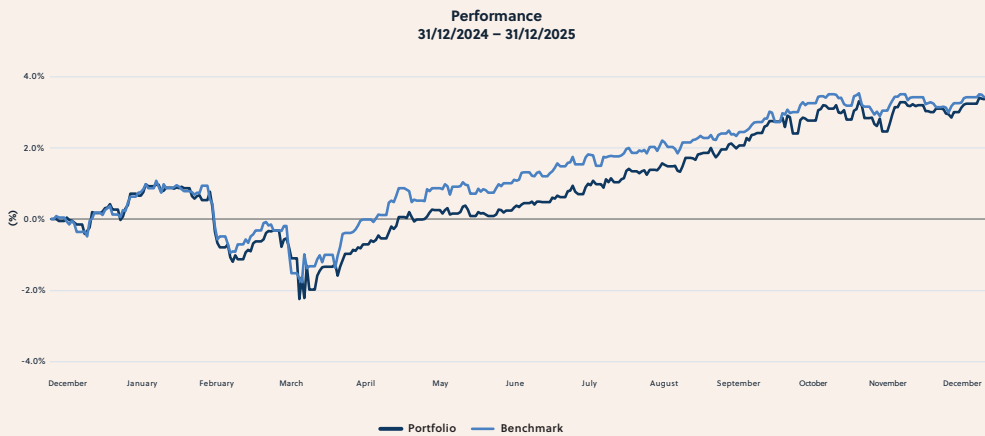
Relative Allocation to SAA (%)



Source: Allianz Global Investors

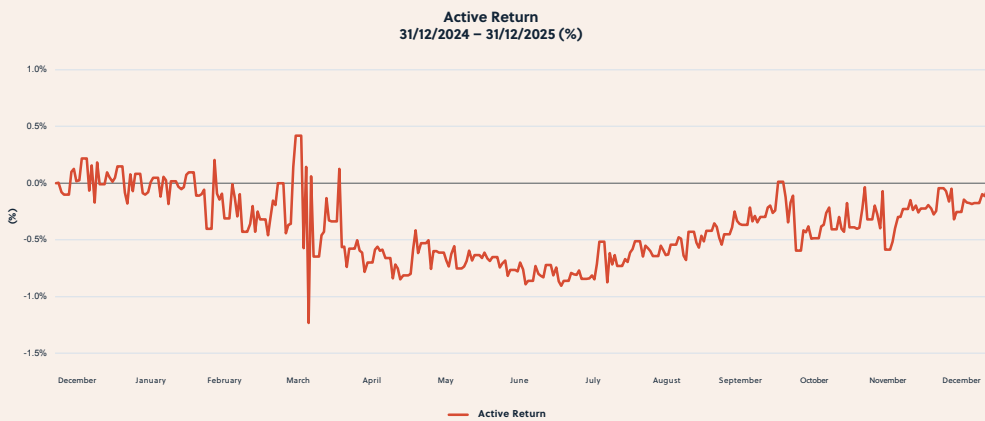
As at 31 December 2025, the Central Bank of Malta Allianz mandate had a net asset value of €134.9 million (2024: €130.5 million). During 2025, the portfolio generated a return of 3.37%, compared to a benchmark return of 3.42%, resulting in a marginal active return of -0.06%. Since inception on 4 September 2018, the portfolio generated a cumulative return of 13.95%, compared to the benchmark return of 18.15%, equivalent to an annualised return of 1.80% against the benchmark annualised return of 2.30%. The portfolio remained mainly invested in EUR bonds, with an equity weight of 20.96% and an average Macaulay duration of 2.58 years.

(c) Return and Relative Performance Against the Benchmark



Comparison: 80% Bloomberg Barclays capital euro-aggregate: 1-7 year unhedged return, 15% MSCI the world index euro total return (net), 5% MSCI emerging markets euro total return (net) rebased last business day of month in euro.

Source: Allianz Global Investors



Comparison: 80% Bloomberg Barclays capital euro-aggregate: 1-7 year unhedged return, 15% MSCI the world index euro total return (net), 5% MSCI emerging markets euro total return (net) rebased last business day of month in euro.

Source: Allianz Global Investors

During 2021, the Fund adopted a 6% volatility cap instead of a 6% risk budget due to the expected elevated level of volatility. This change was intended to provide a more appropriate risk-control framework during periods of heightened volatility, while still allowing the Fund to participate in market recoveries. The studies carried out by the sub-investment manager's AGI showed that the switch to a volatility cap, in times of an evaluated market volatility, and an upturn, would improve the annualized performance of the Fund relative to the status quo. As at 31 December 2025, the portfolio remained within its applicable risk parameters, with the portfolio characteristics report indicating that the relevant Value at Risk measures were within limits.

(d) Performance Attribution by Asset Class

The portfolio recorded a return of 3%, which outpaced the benchmark return of 2.74%, implying an outperformance of roughly 0.26 percentage points.

When analyzing the individual asset classes, the equity portion of the Fund recorded a return of 9.75% which outperformed the benchmark of 6.77%.

The fixed income carveout of the Fund also recorded growth of 3.37%, which also under performed the benchmark returns of 3.42%.

The table below provides a breakdown of the absolute performance of the Discretionary Portfolio (CBM/Allianz) over the reporting period.

Detail	Amount in €
Realised gain/losses	1,407,344
Unrealized fair value gains/losses	973,195
Interest and dividends	2,421,925
Fees	(475,606)
Profit	4,326,858

3.3 Discretionary Global Equity Portfolio (CBM/BOVAM)

In November 2020, the Agency had concluded an Investment Portfolio Management Agreement with Bank of Valletta Asset Management Limited. By means of this Agreement, the bank was awarded an investment mandate to manage on a discretionary basis a Global Equity Portfolio (GEP).

During 2025, the portfolio increased from €30.2 million to €37.7 million. This increase included a €6.0 million capital injection during the year. Excluding this additional investment, the portfolio generated investment gains of approximately €1.4 million.

The Chart below provides the performance of the portfolio against the composite benchmark.



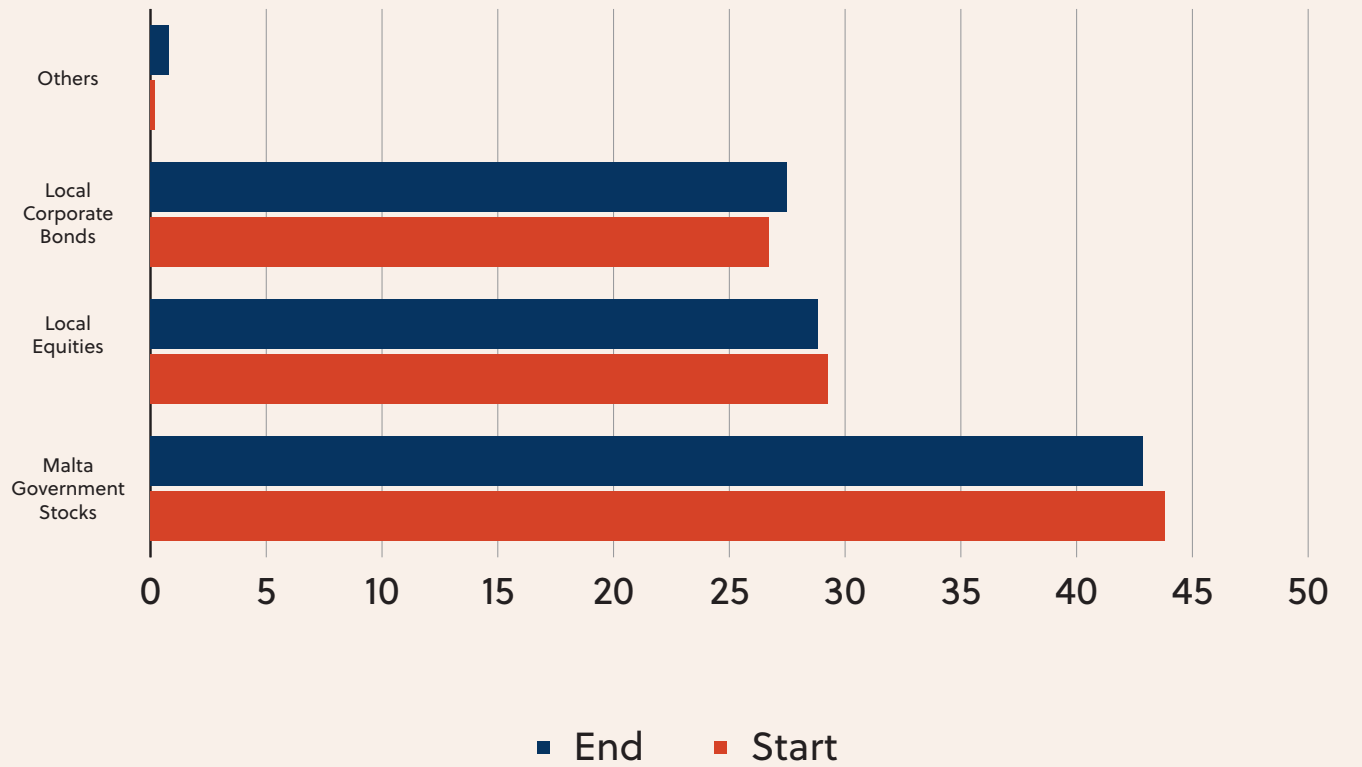
Detail	Amount in €
Realised gain/losses	597,082
Unrealised fair value gains/losses	816,957
Interest and dividends	269,291
Fees	(219,381)
Profit	1,463,949

3.4 Discretionary Local Portfolio (CBM/BOVAM)

As of 31 December 2025, the net asset value of the Discretionary Local Portfolio increased to €93.14 million from €91.97 million as at the end of the prior year. This actively managed portfolio experienced a net profit of €1.2 million, equivalent to a gain of 1.27%.

Detail	Amount in €
Realised gain/losses	67,312
Unrealised fair value gains/losses	(2,285,016)
Interest and dividends	3,724,954
Fees	(336,696)
Profit	1,170,554

The following chart illustrates the weighting of each asset class in the discretionary local portfolio throughout 2025.



3.5 Discretionary Global Fixed Income Portfolio (CBM)

In November 2024, the Agency had concluded an Investment Portfolio Management Agreement with Central Bank of Malta. By means of this Agreement, the CBM was awarded an investment mandate to manage on a discretionary basis a Global Fixed Income Portfolio.

As of 31 December 2025, the net asset value of the Discretionary Local Portfolio increased to €51.1 million from €50 million as at the start of February 2025. This actively managed portfolio experienced a gain of €1.1 million, equivalent to a gain of 2.2%.

Detail	Amount in €
Realised gain/losses	140,438
Unrealised fair value gains/losses	296,835
Interest and dividends	893,775
Fees	(208,853)
Profit	1,122,195

3.6 Directed Portfolio

The Directed Portfolio had a market value of €500.5 million as at 31 December 2025 (2024: €434.5 million), of which €78.17 million (2024: €96.07 million) were invested in foreign short-duration Treasury Bills and €238.7 million (2024: €196.07 million) were invested in Malta Government Stocks. The Strategic Investments Portfolio made a profit of €22.3 million, which reflects income from dividends and interest of €17.8 million.

Detail	Amount in €
Realised gain/losses	14,101
Unrealised fair value gains/losses	4,738,964
Interest and dividends	17,761,222
Fees	(186,118)
Profit	22,328,169

With interest rates still on the upward trend, NDSF has intensified its liquidity management moving significant cash balances out of the fund’s unallocated cash reserves into short-term Treasury Bills. By actively managing this cash, the fund seeks to enhance interest income, thereby improving the overall performance of the portfolio and generate additional revenue for the fund. This is achieved through strategic investments in both local and foreign treasury bills.

3.7 Unallocated Portfolio

The cash balance held with the Central Bank of Malta in a segregated account in the name of NDSF as at the 31 of December 2025 stood at €5,282,039.

Heritage Assets

On the 29 January 2020, Heritage Malta on behalf of the NDSF, successfully participated in an on-line auction by Sotheby’s New York to acquire Mattia Preti’s monumental oil on canvas, “Boethius and Philosophy” for a total consideration of €1,480,503. The stated acquisition falls within the aims of the Agency to protect and enrich the cultural and artistic heritage of our country. Under the terms of a public agreement signed in FY2020, the masterpiece which has been classified as NDSF Investment Property in terms of IFRS and has been loaned out for an indefinite period to Heritage Malta for the benefit of present and future generations.

4. Funding targeted towards Social Projects since inception

Since its inception, the Fund has earmarked more than €149 million towards the wellbeing of society in a variety of important areas ranging from health, social accommodation, sports, community infrastructure, environmental sustainability and cultural heritage. A major part of this allocation, amounting to €66 million, has been directed towards providing social housing units, which project will be staggered over several years. Sports represent the second largest area of investment, with approximately €41 million allocated to strategic initiatives, including the National Multi-purpose Motorsports Hub at Hal Far, the Malta Football Association’s National Football Centre, the Malta Sports High Performance Strategy, the Malta Football Association’s National Youth Football Development Programme, and support for Malta’s participation in the Games of the Small States of Europe. The Fund has also allocated €10 million towards the upgrading and modernisation of clinics and health centres in the Primary Healthcare. During 2025, the Fund further expanded its directed portfolio through new and ongoing initiatives in environmental regeneration and scientific research, reinforcing its commitment to sustainable development and improving the quality of life of present and future generations. Further details are provided in the CEO’s overview of operations.

Social grant to the Primary Health Care Programme (Ministry for Health)

During 2019, the NDSF approved a total social grant commitment of €10 million in support of the Primary Healthcare Upgrading Programme.

Since then, the Fund has disbursed approximately €5.55 million to the beneficiary. Under the terms of the Grant Agreement, responsibility for the implementation of the project and the conduct of all procurement activities rests with the beneficiary. The expenditure underlying these disbursements was subject to review and certification by the Fund’s independent Project Technical Monitor in accordance with the Fund’s monitoring and governance procedures.

During 2025, matters relating to the procurement and implementation of certain works being claimed under the remaining tranche of the Grant Agreement came to the attention of the NDSF.

Following consideration of those matters, including the compliance obligations set out in the relevant Grant Agreement, the Fund decided not to renew the funding agreement upon its expiry. In accordance with the terms of that agreement, the NDSF also did not fund further the outstanding claims submitted by the beneficiary for reimbursement of project expenditure.

The Fund is currently engaged in discussions with the beneficiary and is carrying out an internal assessment of the appropriate way forward. This assessment includes consideration of whether a revised project proposal which may be submitted by the new management of Primary Healthcare could be considered.

As at the date of approval of these financial statements, the Fund’s assessment remains ongoing and no final determination has been made. Accordingly, the ultimate outcome, including the manner in which the outstanding unpaid commitment of approximately €4.4 million may be utilised or otherwise addressed, remains to be determined.

Social Housing Project

The Fund has entered into a financing arrangement with the Housing Authority in relation to the development of a social housing programme comprising a number of residential developments across Malta. Under the terms of the agreement, the Fund committed financing of up to €60 million together with an approved contingency allocation of €6 million. As explained in Note 8 and in accordance with the substance of the contractual arrangements in place, the funding is being accounted for by the NDSF as a long-term loan receivable from the Housing Authority. Under the terms of the financing agreement, responsibility for the implementation of the project and the conduct of all procurement activities rests exclusively with the beneficiary.

As at 31 December 2025, cumulative disbursements under the arrangement amounted to approximately €13 million. All amounts disbursed by the Fund were subject to review, verification and certification by the Fund’s independent Project Technical Monitor in accordance with the governance and control framework established under the funding agreement.

During the year and up to the date of approval of these financial statements, significant challenges emerged in relation to one of the programme’s largest developments, consisting of a social housing project comprising 189 residential units together with associated parking facilities. According to the NDSF’s independent Project Technical Monitor, following the award of the principal construction contract by the Housing Authority, which is contractually and exclusively responsible for the management of the project, including all aspects of procurement, a number of design changes, omissions identified in the original bills of quantities, revised regulatory compliance requirements and adverse site conditions necessitated substantial revisions to the project scope and cost estimates.

As a result, the estimated project cost increased from approximately €19.1 million to approximately €28.1 million, representing an increase of approximately €9 million. The Project Technical Monitor, in its latest report to the Fund, further indicated that the revised estimate remains subject to contractor pricing and ongoing remeasurement exercises, creating the potential for additional cost escalation. The Fund has not committed to provide funding beyond the contractual commitments and protections contained within the existing financing arrangements and continues to assess the implications of the reported cost increases.

These matters have resulted in significant delays to the project programme. The originally anticipated completion timeframe has been revised, with completion currently projected for 2029. The NDSF’s Project Technical Monitor has further reported that little to no progress was being observed on site during recent inspections and that the risk of additional programme delays and further cost increases remains significant.

In view of these developments, the Fund is actively engaging with the Housing Authority and the Government of Malta to assess all available options and determine the most appropriate course of action for the programme. The Fund continues to monitor the position closely and is taking the necessary steps to safeguard and, where necessary, enforce its contractual, legal and financial rights under the relevant agreements.

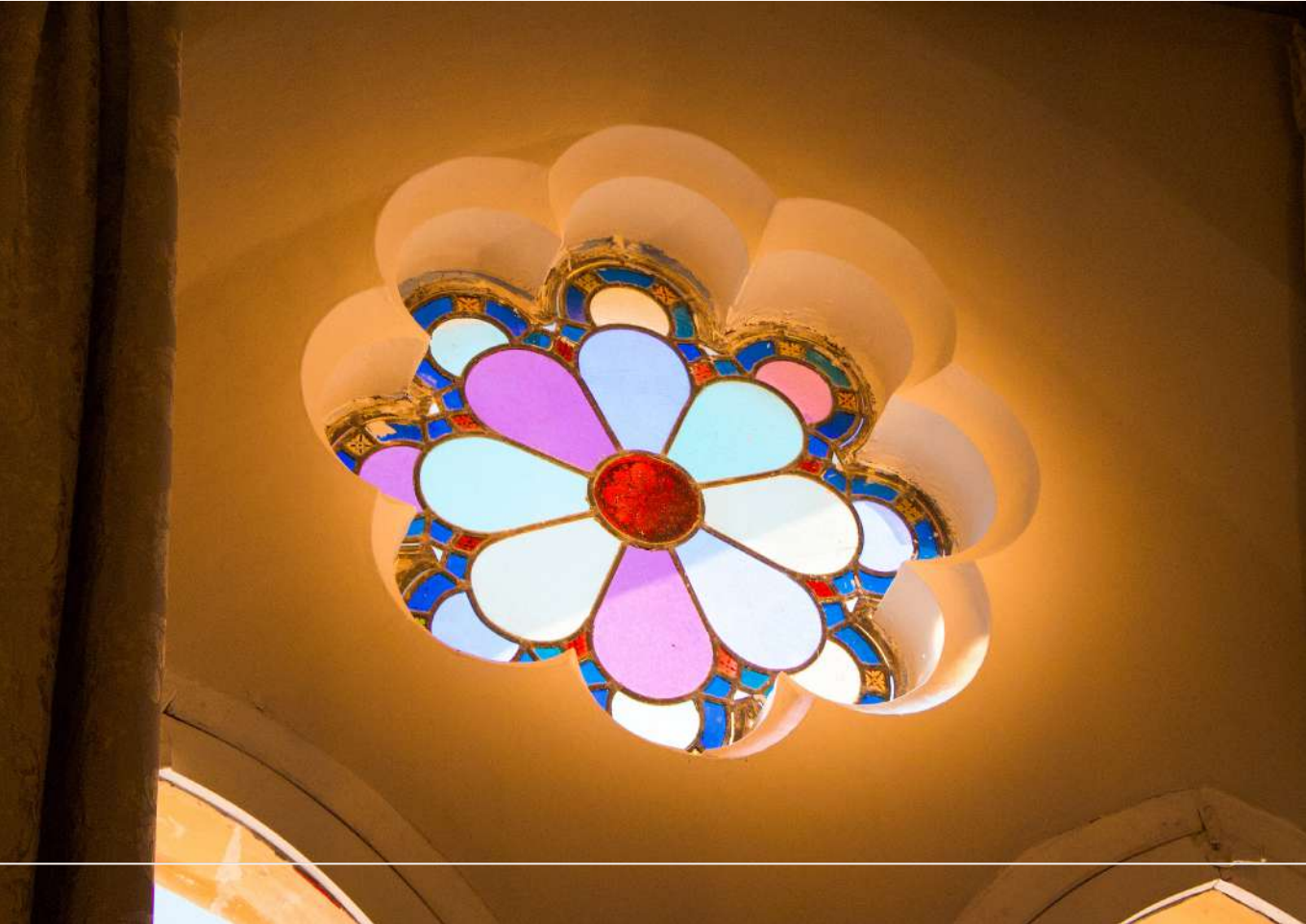
At the date of approval of these financial statements, discussions with the relevant stakeholders remain ongoing and the ultimate impact of the above matters on the programme, including the final level of funding required and the timing of completion, cannot be determined with sufficient certainty. Accordingly, the Governors continue to monitor developments and assess the implications of these matters for the NDSF, including any potential implications for the carrying amount of the related loan receivable.

5. Consolidated Position

The financial results of the Fund for the year ended 31 December 2025 are summarised in the table below. The combined investment returns from the Discretionary and Directed Portfolios resulted in a total profit of €30.5 million, corresponding to a consolidated year-to-date return of 3.7%.

Investment portfolios	Total net income 31.12.2025 €	Performance year to date %	NAV 31.12.2025 €	NAV %
CBM/Allianz Global Bond & Equity	4,326,858	3.3%	134,866,896	16%
CBM/BOVAM Global Equity	1,463,949	4.8%	37,701,883	5%
CBM/BOVAM Local Active Income	1,170,554	1.3%	93,139,000	11%
CBM Global Fixed Income Portfolio	1,122,195	2.2%	51,122,195	6%
Directed Local Strategic	22,328,169	6.7%	518,100,856	62%
Total	30,411,725		834,930,830	100%

Total NAV related to unallocated portfolio amounted to €11,808,203 (2024: €82,535,751), which is 1% (2024: 11%) of the total NAV of the Fund amounting to €846,739,033 (2024: €772,344,950).



6. Market Outlook for 2026

6.1 Local Market Outlook

Malta's economy is expected to remain resilient in 2026, although growth is projected to moderate when compared with the exceptionally strong expansion recorded in recent years. Economic activity is expected to continue being supported by private consumption, employment growth, tourism-related activity and investment in services, while external conditions are likely to remain influenced by developments in the euro area and wider global trade environment.

The Maltese economy is forecast to expand at a solid pace in real terms during 2026, with growth expected to remain above the euro area average. Domestic demand should continue to provide an important contribution, supported by wage growth and a strong labour market. Inflationary pressures are expected to ease further, although price developments remain subject to risks arising from energy prices, imported inflation and geopolitical developments.

Labour market conditions are expected to remain favourable, with unemployment projected to stay at historically low levels. Public finances are also expected to continue improving gradually, with the fiscal deficit projected to narrow while public debt remains relatively stable as a percentage of GDP. Nevertheless, the fiscal outlook remains subject to external risks, including weaker European growth, higher financing costs, demographic pressures and the need to maintain sustainable expenditure growth.

Overall, Malta's economic outlook for 2026 remains positive, supported by a diversified services-based economy, strong employment conditions and continued investment activity. However, the pace of growth is expected to normalise, and the outlook remains dependent on developments in tourism, labour supply, inflation, euro area demand and global financial conditions.

6.2 Global Market Outlook

Looking ahead to 2026, the global financial market outlook remains cautiously constructive but subject to elevated uncertainty. Global growth is expected to continue at a moderate pace, supported by easing inflation, resilient labour markets and gradual monetary policy normalisation. However, trade tensions, geopolitical risks, fiscal sustainability concerns and the possibility of renewed inflationary pressures remain important sources of downside risk.

6.3 Equities

Global equity markets are expected to remain supported by lower inflation, more accommodative monetary policy and continued corporate investment in technology, digitalisation and artificial intelligence. However, following strong gains in several major markets, valuations remain an important consideration. Equity returns in 2026 are therefore likely to depend on the resilience of corporate earnings, the pace of interest-rate reductions and the extent to which productivity gains from technological investment translate into broader economic growth.

6.4 Bonds

Fixed-income markets are expected to remain sensitive to the path of inflation and central bank policy. A gradual easing of monetary policy may provide support to high-quality bonds, particularly at the front end of the yield curve. However, longer-dated government bonds may remain exposed to fiscal concerns, increased government borrowing requirements and shifts in inflation expectations. Credit markets are expected to remain broadly supported by stable corporate fundamentals, although careful attention to credit quality and duration risk will remain important.

6.5 Currency Markets

Currency markets are expected to remain influenced by relative interest-rate expectations, fiscal developments and geopolitical risk. The euro may benefit from a more stable inflation environment and gradual improvement in euro area activity, while the U.S. dollar may remain sensitive to changes in Federal Reserve policy expectations and global risk sentiment. Emerging market currencies may benefit from lower global interest rates, although performance is likely to remain uneven across regions depending on domestic fundamentals, external balances and exposure to trade-related risks.



Management and Administration

Board of Governors:	Kurt Farrugia* Joseph Zrinzo (Deputy Chairman) John Bencini (Member) Maria Camilleri (Member) Monica Farrugia (Member) James Grech (Member) Joseph Brincat (Member)
Chief Executive Officer and Board Secretary:	Raymond Ellul
Advisory Board:	Raymond Ellul (Chairman) Dr. Kevin Mompalao (Member) Peter Paul Zammit L.P.(Member)
Address:	National Development and Social Fund Orange Grove Blk B Triq Birbal Balzan BZN 9013 Malta
Banker:	Central Bank of Malta Payments and Banking Operations Castille Place Valletta VLT 1060 Malta
Auditor:	PricewaterhouseCoopers 78 Mill Street Qormi QRM 3103 Malta

*Mr Jonathan Cardona served as Chairman of the Board of Governors until his passing on 4 June 2026. He was succeeded by Kurt Farrugia, who was appointed Chairman on 1 July 2026.

The auditors have expressed their willingness to continue in office as auditors of the Fund and a resolution proposing their re-appointment will be put forward to the Board of Governors at the Board Meeting after the approval of these Financial Statements.

Approved by the Board of Governors and signed on its behalf by:

Kurt Farrugia
Chairman

Joseph M Zrinzo
Deputy Chairman

27 August 2026

Board of Governors



Kurt Farrugia
Chairman



Joseph M Zrinzo
Deputy Chairman



John Bencini
Member



Maria Camilleri
Member



Monica Farrugia
Member



James Grech
Member



Joseph Brincat
Member

Chief Executive Officer's review of operations

Parting Message

I present this Annual Report for 2025 with pride and gratitude as I share my parting message as the founding Chief Executive Officer of the National Development and Social Fund. It has been a privilege to lead this important Fund, together with my team, for the past nine years, indeed from its very inception.

Achievements and Resilience

As my tenure draws to a close next year, I look back with great satisfaction on the milestones the NDSF has achieved.

Despite prolonged periods of negative and very low interest rates, the COVID-19 pandemic, the Ukraine-Russia war, and increasing geopolitical tensions, the Fund has delivered significant net positive returns, as outlined in this report.

The NDSF has established itself as Malta's de facto fully fledged Sovereign Wealth Fund, guided by the Santiago Principles and International Financial Reporting Standards as adopted in the EU. It has increased our nation's wealth, with assets of nearly €850 million, while providing close to €150 million of funding towards a wide range of social investment in health, sport, social accommodation, culture, and many other areas that have improved the well-being of present and future generations.

Gratitude and Future Outlook

I would like to thank the Board of Governors for its stewardship and cooperation, the Fund's major stakeholders for their continued support, and, last but not least, the NDSF management and staff for their professionalism and dedication.

I also wish my successor every success in taking the NDSF to the next level, so that the Fund remains steadfast in its mission to grow our nation's financial wealth and improve the well-being of our society for generations to come.



Raymond Ellul



Board of Governors



Board of Governors with the outgoing CEO

The following review highlights the main activities and achievements during 2025 which are sub-divided as follows:

- A. Operations and Governance
- B. Investments
- C. Main Financial Highlights and Consolidated Position FY2025
- D. Funds targeted towards Social Projects since inception
- E. Proposed Programmes and Activities for 2026

A. Operations and Governance

- During the year under review, the Fund continued to invest in high quality foreign securities in line with its long-term strategy to diversify its holdings and hedge against the Fund’s large exposure to the Maltese economy.
- The Board of Governors have approved amendments to the Investment mandate of its various discretionary portfolios to introduce, on recommendations made by the Central Bank of Malta, an “Exclusion List” based mostly on the one adopted by the Norges Bank Investment Management and Allianz AG. This basically excludes investments in companies manufacturing for instance, weapons of mass destruction and those companies who fail in the ESG criteria. (Kindly refer also to NDSF’s ESG Statement).
- The Board has met 19 times during the year and while reviewing all existing policies has also approved two new NDSF policies, (i) The NDSF HR Policy which now governs all NDSF employees and (ii) NDSF Conflicts of Interest Policy which incorporates the previous policy on Market Abuse and Directive 16 recently issued by the People and Standards Division at OPM.

- The Fund has negotiated and secured with the Industrial Relations Unit at OPM, a new salary structure for NDSF employees covering the period 2025 to 2028, retroactive from 1 January 2025. The new framework has introduced new benefits in the form of CPD allowances and a Project-driven bonus.
- No new recruitment was made in 2025, while a focus on Continuous Professional Development was maintained to further strengthen the internal capacity of the workforce. In this regard, training costs amounted to €16,890 with over 300 hours of training provided to staff.
- NDSF continued to monitor the social projects underway together with the Fund’s Project Technical Monitor. Inception and Progress reports on the social projects were presented to the Board of Governors during regular meetings to ensure timely corrective action.
- The Fund has continued to assess its investment direction on its Lombard Bank Malta plc shareholding.
- Discussions were held with the Ministry for Home Affairs regarding the need to review NDSF’s legal framework in view of the Fund’s evolution over time towards a sovereign wealth fund.
- NDSF concluded the audit process of its FY2024 Annual Report and Financial Statements which was published in early 2026.



B. Investments

- The Fund launched in early January 2025, a €50 million Global Fixed Income Portfolio managed by the Central Bank of Malta. The Portfolio consists of high-quality sovereign, sub-sovereign and corporate fixed income holdings.
- NDSF has continued to monitor the performance of its investment managers as well as to keep track of the risk-return performance of its investment portfolios in the dynamic and challenging financial and capital markets. With the improvement in interest rates, the Fund has increased its participation in the local and foreign treasury bill markets with a view to optimizing return on its liquidity. This has led to a significant improvement in interest income and has contributed to the record profit registered at year-end.
- Under its Directed Portfolio, the Fund acquired a total of €40 million in two separate tranches of the BOV 5% Unsecured subordinated 2030-2035 bonds. It also acquired a total of nominal €35 million in Malta Government Stock in the 2030,2035 and 2040 maturities, to continue to diversify the Fund’s maturity ladder of MGS holdings.

Further details on NDSF’s current Investments as at the end of December 2025 are provided below.

(i) Discretionary Portfolios managed by CBM/Allianz AG and CBM/BOVAM

As at year end the Net Asset Value of the two Foreign and one Local Discretionary Portfolios managed by the Central Bank of Malta amounted in total to €316,829,974 (2024: €252,746,418). The original cost of investment in the three discretionary portfolios mentioned further below, amounted to around €287,154,269 consisting of a well-diversified range of foreign and local financial instruments in line with the Fund’s investment policy.

Table 1 below shows the change in NAV during FY2025, and as at 31 December 2025, the combined NAV of the Discretionary Portfolio showed a positive year-on-year change in Net Asset Value of €64,083,556, including a cash injection of €6,000,000 into CBM/BOVAM Global Equity and a €50,000,000 investment in a new portfolio, CBM Global Fixed Income Portfolio.

Table 1: Year on Year Change in Discretionary Portfolio Net Asset Value

Portfolio	Original cost of investment	NAV as at 31.12.2024	NAV as at 31.12.2025	Y-o-Y change in NAV
	€	€	€	€
CBM/Allianz Global Bond and Equity	120,000,000	130,540,038	134,866,896	4,326,858
CBM/BOVAM Global Equity	26,000,000	30,237,934	37,701,883	7,463,949
CBM/BOVAM Local Active Income	91,154,269	91,968,446	93,139,000	1,170,554
CBM Global Fixed Income	50,000,000	-	51,122,195	-
Total	287,154,269	252,746,418	316,829,974	12,961,361

(ii) Directed Portfolio - Local Strategic Portfolio

The total market value of local listed securities under the Directed Portfolio (Local Strategic Portfolio) as at 31 December 2025 amounted to €316,836,940 (2024: €328,474,065), while the fair value of total investments stood at €500,479,132 (2024: €434,540,856), an increase of €65,938,276 or 15.2% over the previous year.

Table 2: Local and Foreign Investments at Fair Value

Financial Assets	Net Additions/ (Disposals) (€) during FY2025	Market Value € as at 31.12.2024	Market Value € as at 31.12.2025
BOV p.l.c. equity	18,487,854	28,908,281	34,942,044
Lombard Bank (Malta) equity	-	59,847,874	61,363,009
Corporate Debt	25,000,000	38,681,481	77,337,139
MGS & Local Treasury bills	37,627,481	201,036,429	238,663,910
Foreign Treasury bills	(17,893,761)	96,066,791	78,173,030
Fixed Deposit	-	10,000,000	10,000,000
Totals	63,221,574	434,540,856	500,479,132

(iii) Unallocated Portfolio

The Fund’s Unallocated Portfolio consists of a Cash balance amounting to €5,282,039 which is held in a segregated account with the Central Bank of Malta, in the name of NDSF.

Table 3: Cash Balances with CBM as at 31 December 2025

Cash Balance € held with CBM as at 31.12.2024	Cash Balance € held with CBM as at 31.12.2025
75,761,073	5,282,039

C. Main financial highlights and consolidated position FY2025

Total funding received from the Individual Investor Programme, Community Malta and Residency Malta Agency from inception to 31 December 2025 amounted to €836,506,572 (2024: €786,499,822) while total funding for the year amounted to €50,366,750. Total funds invested from inception to end 2025 at fair value amounted to €810,188,730 (2024: €684,212,302), representing a net increase of €125,976,428 or 18.4% over the previous year. Following the EU Court of Justice ruling in 29 April 2025, this programme was terminated. The Fund registered a record net profit, after operating expenses and investment charges, for the year €30,541,686 (2024: €27,090,824) brought about mainly by unrealised gains from fair value movement of €4,540,935, realised investment gains which amounted to €2,226,277 and interest income and dividends of €25,252,521 (2024: €18,188,558). Further details can be found in Table 4 below and the Statement of Comprehensive Income.

Total Funding Received

€50,366,750

as of 31.12.25

Net Increase of

18.4%

over the previous year

Total Comprehensive Income

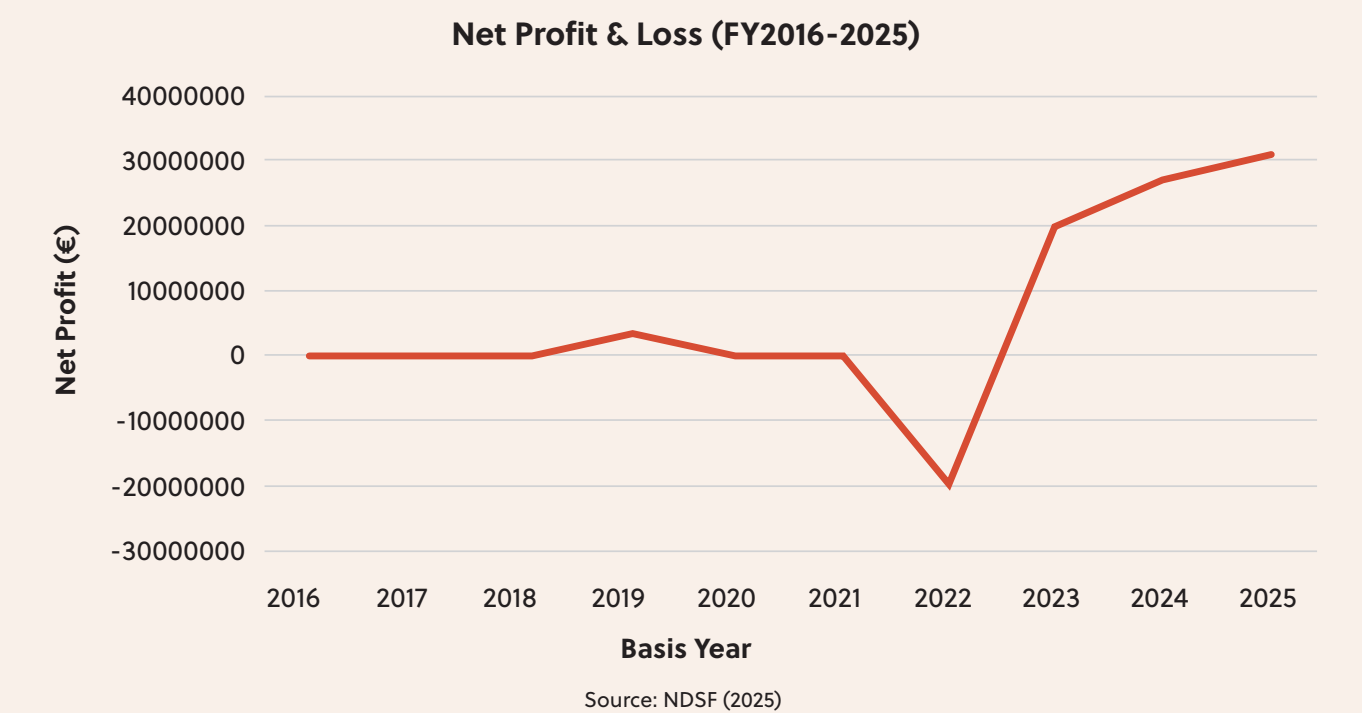
€30,541,686

as of 31.12.25

Table 4: Financial highlights as at 31 December 2025

Financial Highlights	As at 31.12.2024 €	As at 31.12.2025 €
Total funds received from inception to date	786,139,822	836,506,572
Funding for the year received from the Individual Investor Programme, Community Malta and Residency Malta Agency	93,577,700	50,366,750
Cash and cash equivalents	75,761,073	15,450,414
Total assets	773,261,336	847,863,016
Fair value of consolidated investments	684,212,302	810,188,730
Realised gains on investments	1,067,550	2,226,277
Unrealised gains on investments	9,209,720	4,540,935
Net income after fees and taxes	27,090,824	30,541,686
Endowment from government	864,388	809,101
Operating expenses	943,493	860,494
Profit for the year	27,090,824	30,541,686
Total comprehensive income	27,090,824	30,541,686

The Chart below shows how the Fund has managed to generate a net positive return for the years 2016-2025. This outcome demonstrates the resilience of the Fund in the face of long periods of negative and low interest rates, black-swan events such as the COVID 19 pandemic, Ukraine-Russia Conflict, and supply-side shocks due to geopolitical tensions.



(i) Consolidated Position of the Fund as at 31 December 2025

The consolidated position of the Fund at fair value as at 31 December 2025 is illustrated in Table 5 below. Net Assets of the Fund stood at €846,739,033 (2024: €772,344,950) with major assets being current and non-current financial investments of €810,188,730 (2024: €674,212,302), non-current assets, excluding non-current financial investment, of €6,766,107 (2024: €16,475,610) and cash and cash equivalents of €15,450,414 (2024: €75,761,073).

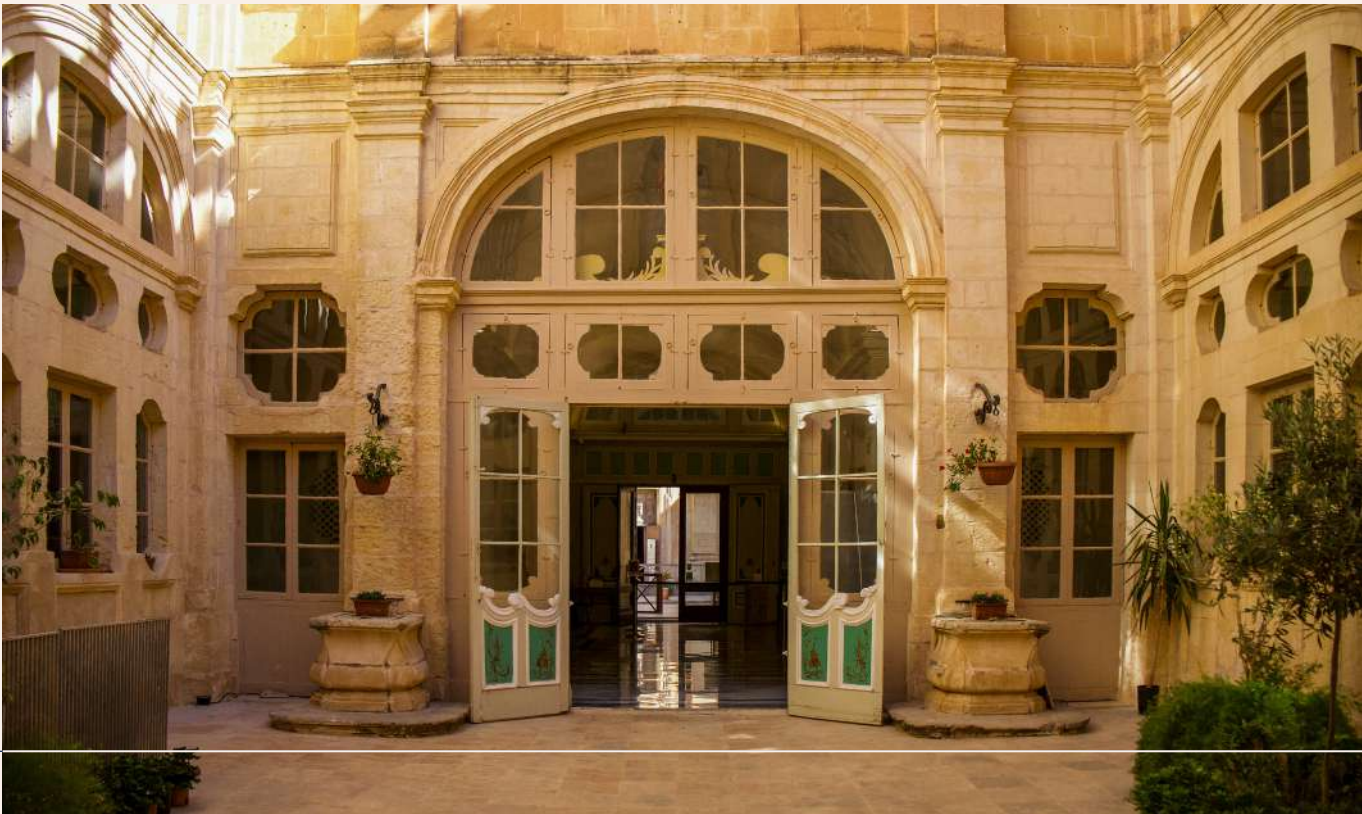


Table 5: Consolidated Position of Fund as at 31 December 2025

	Unallocated Portfolio		Discretionary Portfolio		Directed Portfolio		Total	
	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €
ASSETS								
Non-current assets								
Property and equipment	66,475	136,384	-	-	-	-	66,475	136,384
Heritage asset	1,480,503	1,480,503	-	-	-	-	1,480,503	1,480,503
Loan receivable	5,209,129	4,848,723	-	-	-	-	5,209,129	4,848,723
Other non-current assets	10,000	10,000	-	-	-	-	10,000	10,000
Financial investments	-	-	-	-	-	10,000,000	-	10,000,000
Total non-current assets	6,766,107	6,475,610	-	-	-	10,000,000	6,766,107	16,475,610
Current assets								
Financial investments	-	-	309,709,598	249,671,446	500,479,132	424,540,856	810,188,730	674,212,302
Other current assets	-	-	5,870,428	2,122,033	-	-	5,870,428	2,122,033
Receivables and prepayments	113,570	526,899	1,999,759	1,623,579	7,474,008	2,539,840	9,587,337	4,690,318
Cash and cash equivalents	5,282,039	75,761,073	-	-	10,168,375	-	15,450,414	75,761,073
Total Current Assets	5,395,609	76,287,972	317,579,785	253,417,058	518,121,515	427,080,696	841,096,909	756,785,726
Total Assets	12,161,716	82,763,582	317,579,785	253,417,058	518,121,515	437,080,696	847,863,016	773,261,336
LIABILITIES								
Non-current liability								
Lease liability	-	72,994	-	-	-	-	-	72,994
Current Liabilities								
Lease liability	75,031	70,820	-	-	-	-	75,031	70,820
Accruals and other liabilities	278,482	84,017	749,811	670,640	20,659	17,915	1,048,952	772,572
Total Current Liabilities	353,513	154,837	749,811	670,640	20,659	17,915	1,123,983	843,392
Total Liabilities	353,513	227,831	749,811	670,640	20,659	17,915	1,123,983	916,386
Net Assets Year as at 31 December 2025	11,808,203	82,535,751	316,829,974	252,746,418	518,100,856	437,062,781	846,739,033	772,344,950
Investments revaluation	-	-	-	-	-	-	-	-
Total Net Assets as at 31 December 2025	11,808,203	82,535,751	316,829,974	252,746,418	518,100,856	437,062,781	846,739,033	772,344,950

(ii) Contribution by Government to NDSF

The total administrative expenditure incurred in 2025 amounted to €860,494 and for the FY2026 the total expenditure is estimated to reach €900,000. A breakdown of the main expenditure items is given in Table 6 below.

Table 6: Contribution by Government as at 31 December 2025

Headline	2025 Actual €	2025 Budget €
Human Resources Costs	540,502	512,336
Operational and Maintenance	140,000	89,740
Contractual Services	72,924	72,924
Professional Services	107,068	225,000
Totals	860,494	900,000

Around €540,502 or 63% (2024: 57%) of the allocation was incurred on towards Human Resources related costs including the honoraria of the Agency’s Board of Governors, Advisory Board members and salaries of CEO and new employees recruited throughout FY2025.

The Fund also utilised around €225,000 or 25% of its budgeted allocation towards the provision of professional services in auditing, legal, marketing services and systems development. Around 8% or €72,294 was allocated towards contractual services vital for the Fund’s operations.

D. Funding targeted towards Social Projects and Initiatives since inception

NDSF has approved grants and donations amounting to €148,772,227 as at 31 December 2025 towards the wellbeing of society in a variety of important areas ranging from health, social accommodation, urban greening and sports. A major part of this allocation will be directed towards providing a substantial number of social housing units over a 4-year period. The second largest allocation of funds will go towards the development of the Malta Motorsport Hub and Racetrack at Ħal-Far followed by the Primary Healthcare and Palliative Care sectors. Other major social projects funded by NDSF include the St. Michael Hospice Palliative Care Centre, the Puttinu Cares London Apartments and the upgrading of Caritas Malta’s San Blas Drug Rehabilitation Unit and Community Centre at Blata l-Bajda.

Total disbursements during 2025 amounted to €6,108,188 (2024: €10,199,448), including disbursements relating to Housing Authority, bringing the total amount of disbursements as at 31 December 2025 to €50,865,600. Donations to various voluntary organisations in during 2025, amounted to €47,000. Further details are provided in Table 7 below and Note 19 to the Financial Statements.

Table 7: Targeted funding towards Social Projects and Initiatives as at 31 December 2025

Grants/Donations	Payments to Date (€)	Approved Amount (€)
Housing Authority : Social Housing Project	13,027,358	66,000,000
SportMalta-Malta Motorsports Hub and Racetrack Project at Hal Far	2,025,213	16,523,540
Primary Health Care-Upgrading of Clinics and Health Centres	5,553,002	10,000,000
MFA National Football Centre at Ta' Qali	5,570,266	7,350,000
MFA Youth Development Centre	-	6,940,000
SportMalta GSSE 2023	4,685,021	5,153,500
Puttinu Cares (Dar Calvagna) Apartments in Central London	5,000,000	5,000,000
SportMalta : NOC High Performance Strategy	776,202	5,000,000
Hospice Malta: St Michael Palliative Care Centre	3,816,019	4,006,607
Inspire Foundation	-	3,500,000
New Hope Impaired Lives Guarantee Fund	-	3,000,000
INDIS Community projects (Bulebell, Siggiewi, Dingli and Qormi)	682,958	2,900,000
Illumination Project of Walled City of Mdina	363,892	1,600,000
Wasteserve Urban Greening (Hamrun)	1,519,455	1,562,125
Wasteserve Urban Greening (Zabbar)	1,168,585	1,168,585
Wasteserve Urban Greening (Qormi)	1,109,799	1,109,799
EcoGozo Directorate (Ministry for Gozo) for the Ulysses Grove Greening project	-	1,096,806
Caritas Malta: Community Centre at Blata L Bajda	999,972	1,000,000
Wasteserve Urban Greening (Mosta)	999,743	1,000,000
Mater Dei-Cardiology Department Catheterisation Suites	950,000	950,000
Illumination Project of Mosta Dome	803,794	858,850
Richmond Foundation:KIDS for Development Programme	-	700,000
Caritas Malta Upgrading of Drug Rehabilitation Unit at San Blas	539,906	540,000
Malta Community Chest Fund (Charitable Donation)	500,000	500,000
Dar tal Providenza (Charitable Donation)	350,000	350,000
MTA /RIDT Restoration of Nymphaeum monument at Argotti Gardens	-	300,000
University of Malta Gene Sphere	-	200,000
Caritas Malta (Charitable Donation)	150,500	150,500
St.Paul's Anglican Pro Cathedral: Geo-Technical Research on Restoration	53,365	53,365
Puttinu Cares telethon (Charitable Donation)	40,000	40,000
Malta International Organ Festival Foundation (2022)	34,750	34,750
Stat tan Nazzjon	20,000	20,000
Malta International Organ Festival Foundation (2023)	15,000	15,000
Paulus Foundation - Agape Festival	15,000	15,000
Ghaqda Tal-Muzika San Gejtanu (Hamrun Band Club) Concert in Rome	15,000	15,000
The Classique Foundation-Sponsorship of Puccini 100th Anniversary Concert	15,000	15,000
The Classique Foundation-Sponsorship of Torandot	-	15,000
Sezzjoni Zghazagh Munxarin S Pawl	15,000	15,000
Dar Bjorn Telethon (Charitable Donation)	10,000	10,000
Malta Trust Foundation	10,000	10,000
Socjeta Filarmonika Ant De Paule	-	10,000
Hamrun Parish -Pilgrimage with San Gejtanu- Rome	7,500	7,500
Fondazzjoni Nazareth Fund Raising for Dar San Frangisk	2,000	6,000
St John's Co Cathedral Foundation (Pope Pius V centenary)	5,000	5,000
Malta Model United Nations Society	5,000	5,000
Trinita band club Mozart	5,000	5,000
Paulus Foundation	-	5,000
Socjeta Muzikali Trinita Qaddisa Marsa-sponsorship of exhibtion of Cribs in Rome	4,000	4,000
Il Hajja F Ghawdex	-	4,000
Malta Institue Management	1,000	1,000
Optimistic Club	1,000	1,000
University of Malta Engineering Students Football Tournament	300	300
Total	50,865,600	148,772,227

Social grant to the Primary Health Care Programme (Ministry for Health)

During 2019, the NDSF approved a total social grant commitment of €10 million in support of the Primary Healthcare Upgrading Programme.

Since then, the Fund has disbursed approximately €5.55 million to the beneficiary. Under the terms of the Grant Agreement, responsibility for the implementation of the project and the conduct of all procurement activities rests with the beneficiary. The expenditure underlying these disbursements was subject to review and certification by the Fund’s independent Project Technical Monitor in accordance with the Fund’s monitoring and governance procedures.

During 2025, matters relating to the procurement and implementation of certain works being claimed under the remaining tranche of the Grant Agreement came to the attention of the NDSF. Following consideration of those matters, including the compliance obligations set out in the relevant Grant Agreement, the Fund decided not to renew the funding agreement upon its expiry. In accordance with the terms of that agreement, the NDSF also did not fund further the outstanding claims submitted by the beneficiary for reimbursement of project expenditure.

The Fund is currently engaged in discussions with the beneficiary and is carrying out an internal assessment of the appropriate way forward. This assessment includes consideration of whether a revised project proposal which may be submitted by the new management of Primary Healthcare could be considered.

As at the date of approval of these financial statements, the Fund’s assessment remains ongoing and no final determination has been made. Accordingly, the ultimate outcome, including the manner in which the outstanding unpaid commitment of approximately €4.4 million may be utilised or otherwise addressed, remains to be determined.

Social Housing Project

The Fund has entered into a financing arrangement with the Housing Authority in relation to the development of a social housing programme comprising a number of residential developments across Malta. Under the terms of the agreement, the Fund committed financing of up to €60 million together with an approved contingency allocation of €6 million. As explained in Note 8 and in accordance with the substance of the contractual arrangements in place, the funding is being accounted for by the NDSF as a long-term loan receivable from the Housing Authority. Under the terms of the financing agreement, responsibility for the implementation of the project and the conduct of all procurement activities rests exclusively with the beneficiary.

As at 31 December 2025, cumulative disbursements under the arrangement amounted to approximately €13 million. All amounts disbursed by the Fund were subject to review, verification and certification by the Fund’s independent Project Technical Monitor in accordance with the governance and control framework established under the funding agreement.

During the year and up to the date of approval of these financial statements, significant challenges emerged in relation to one of the programme’s largest developments, consisting of a social housing project comprising 189 residential units together with associated parking facilities. According to the NDSF’s independent Project Technical Monitor, following the award of the principal construction contract by the Housing Authority, which is contractually and exclusively responsible for the management of the project, including all aspects of procurement, a number of design changes, omissions identified in the original bills of quantities, revised regulatory compliance requirements and adverse site conditions necessitated substantial revisions to the project scope and cost estimates.

As a result, the estimated project cost increased from approximately €19.1 million to approximately €28.1 million, representing an increase of approximately €9 million. The Project Technical Monitor, in its latest report to the Fund, further indicated that the revised estimate remains subject to contractor pricing and ongoing remeasurement exercises, creating the potential for additional cost escalation. The Fund has not committed to provide funding beyond the contractual commitments and protections contained within the existing financing arrangements and continues to assess the implications of the reported cost increases.

These matters have resulted in significant delays to the project programme. The originally anticipated completion timeframe has been revised, with completion currently projected for 2029. The NDSF's Project Technical Monitor has further reported that little to no progress was being observed on site during recent inspections and that the risk of additional programme delays and further cost increases remains significant.

In view of these developments, the Fund is actively engaging with the Housing Authority and the Government of Malta to assess all available options and determine the most appropriate course of action for the programme. The Fund continues to monitor the position closely and is taking the necessary steps to safeguard and, where necessary, enforce its contractual, legal and financial rights under the relevant agreements.

At the date of approval of these financial statements, discussions with the relevant stakeholders remain ongoing and the ultimate impact of the above matters on the programme, including the final level of funding required and the timing of completion, cannot be determined with sufficient certainty. Accordingly, the Governors continue to monitor developments and assess the implications of these matters for the NDSF, including any potential implications for the carrying amount of the related loan receivable.



E. Proposed Programmes and Activities for 2026

The Fund's activities during FY2026 will focus in the following areas:

(i) Governance, Accountability and Transparency

- NDSF will publish its 2025 NDSF Annual Report and Financial Statements.
- NDSF will evaluate feedback and implement recommendations, where deemed appropriate, from NAO follow-up audit initiated in 2025.
- NDSF will engage with external advisors to draw up an NDSF Accounting Policy to complement the Fund's other major Investment, Risk and Withdrawal Policies.
- Liaise with the Ministry on the promulgation of an updated legislative framework for the Fund.

(ii) HR Development and Recruitment

- NDSF will issue a public call for applications for the post of Head Investments and Research and Executive Officer (Junior grade) to assist Head Finance and Manager Social Investments.
- NDSF will carry out a resource review with a view to assess requirements following implementation of NDSF's new legislative framework.
- NDSF will continue to provide Specialised/Focused training to NDSF employees for continuous professional development.

(iii) Investment and Strategic Direction of Fund

NDSF will :

- explore the modification of strategic asset allocations with a view to introduce alternative investments, where applicable in the asset mix, to diversify and reduce volatility and improve returns of the Fund's various portfolios in view of heightened market risk.
- Continue to invest in select MGS issues with a view to smoothen the maturity ladder of NDSF's MGS holdings, focusing on short-to-medium term issues taking into consideration any maturities during the year and any anticipated changes in ECB interest rates.
- Continue its active cash management strategy in order to maximise return without compromising on liquidity requirements.
- Continue to assess its equity holding in Lombard Bank Malta plc.

(iv) Operations

- NDSF will examine the feasibility of extending its current lease or seek alternative premises.
- NDSF will undergo a study to identify ways how to become more efficient through the effective use of AI applications where applicable.
- NDSF to identify potential systems for data management archiving and retrieval.
- NDSF to revamp its website with new content and original photos, with section dedicated specifically to its social investments.

(v) Social Projects

- NDSF to continue focusing on monitoring and bringing to fruition the social projects underway, e.g. social housing, primary health care, Malta Motorsport hub and racetrack etc. Particular focus will be placed on assessing the future utilisation of the remaining Primary Health Care funding commitment and addressing ongoing challenges within the Social Housing Programme.
- NDSF to assess on a case-by-case basis, new proposals for funding according to its withdrawal policy.

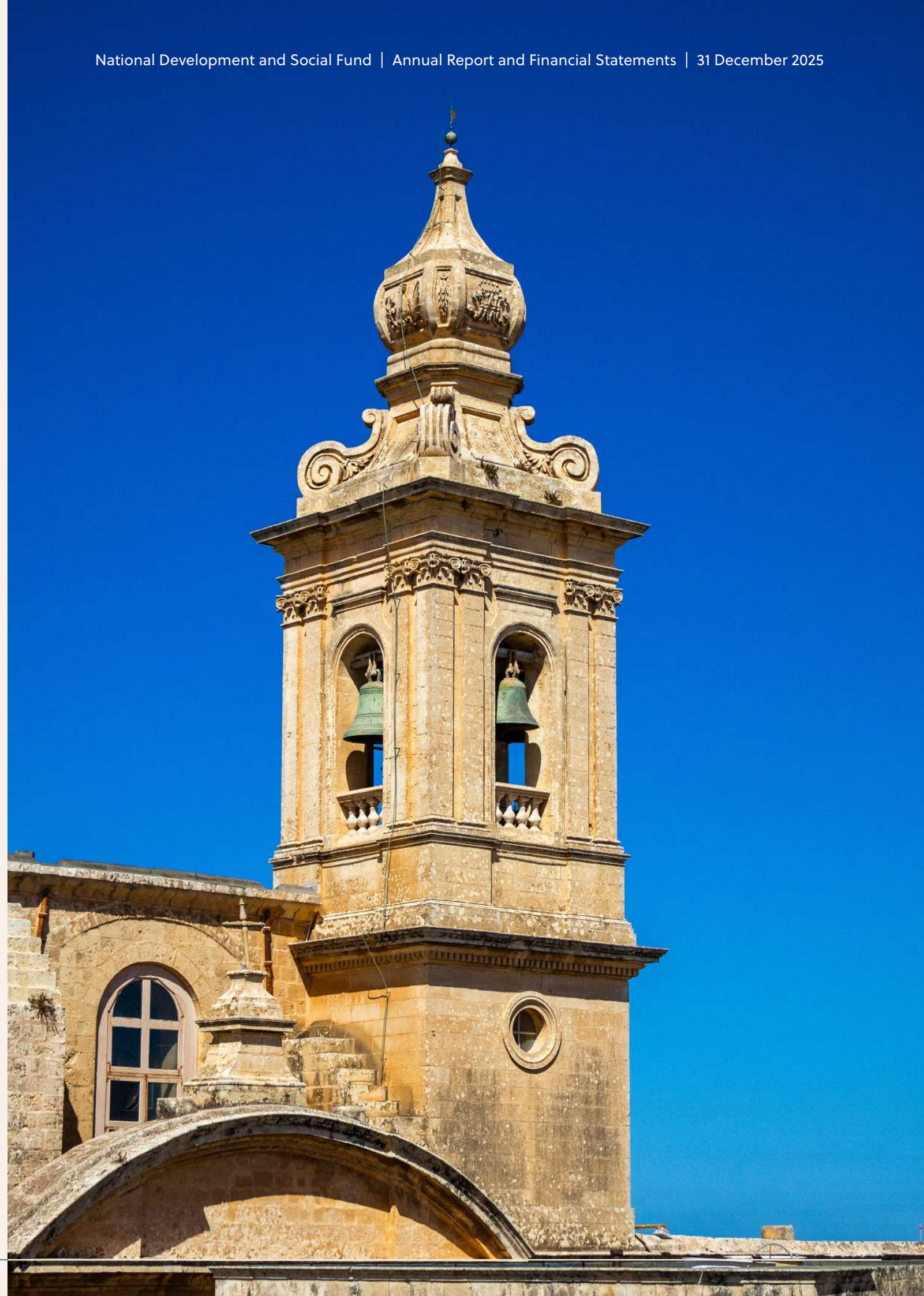


Raymond Andrew Ellul
Chief Executive Officer
National Development and Social Fund
27 August 2026



Statement of financial position

as at 31 December



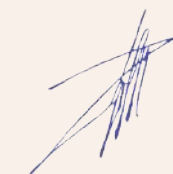
		Unallocated portfolio		Discretionary portfolio		Directed portfolio		Total	
	Notes	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €
ASSETS									
Non-current assets									
Property and equipment	5	66,475	136,384	-	-	-	-	66,475	136,384
Heritage asset	7	1,480,503	1,480,503	-	-	-	-	1,480,503	1,480,503
Loan receivable	8	5,209,129	4,848,723	-	-	-	-	5,209,129	4,848,723
Other non-current assets	6	10,000	10,000	-	-	-	-	10,000	10,000
Financial investments	9	-	-	-	-	-	10,000,000	-	10,000,000
Total non-current assets		6,766,107	6,475,610	-	-	-	10,000,000	6,766,107	16,475,610
Current assets									
Financial investments	9	-	-	309,709,598	249,671,446	500,479,132	424,540,856	810,188,730	674,212,302
Other current assets	10	-	-	5,870,428	2,122,033	-	-	5,870,428	2,122,033
Receivables and prepayments	11	113,570	526,899	1,999,759	1,623,579	7,474,008	2,539,840	9,587,337	4,690,318
Cash and cash equivalents	12	5,282,039	75,761,073	-	-	10,168,375	-	15,450,414	75,761,073
Total current assets		5,395,609	76,287,972	317,579,785	253,417,058	518,121,515	427,080,696	841,096,909	756,785,726
Total assets		12,161,716	82,763,582	317,579,785	253,417,058	518,121,515	437,080,696	847,863,016	773,261,336
LIABILITIES									
Non-current liability									
Lease liability	14	-	72,994	-	-	-	-	-	72,994
Current liabilities									
Lease liability	14	75,031	70,820	-	-	-	-	75,031	70,820
Accruals and other liabilities	13	278,482	84,017	749,811	670,640	20,659	17,915	1,048,952	772,572
Total current liabilities		353,513	154,837	749,811	670,640	20,659	17,915	1,123,983	843,392
Total liabilities		353,513	227,831	749,811	670,640	20,659	17,915	1,123,983	916,386
Net assets of the fund at the end of year									
Net funds available to the agency		11,808,203	82,535,751	316,829,974	252,746,418	518,100,856	437,062,781	846,739,033	772,344,950
Total net assets of the Fund at the end of year		11,808,203	82,535,751	316,829,974	252,746,418	518,100,856	437,062,781	846,739,033	772,344,950
Memorandum items									
Commitments	19	97,906,627	93,509,917	-	-	-	-	97,906,627	93,509,917

The notes on pages 60 to 101 from an integral part of these financial statements.

The financial statements on pages 44 to 101 were approved and authorised for issue by the Board of Governors and signed on its behalf on 27 August 2026 by:



Kurt Farrugia
Chairman



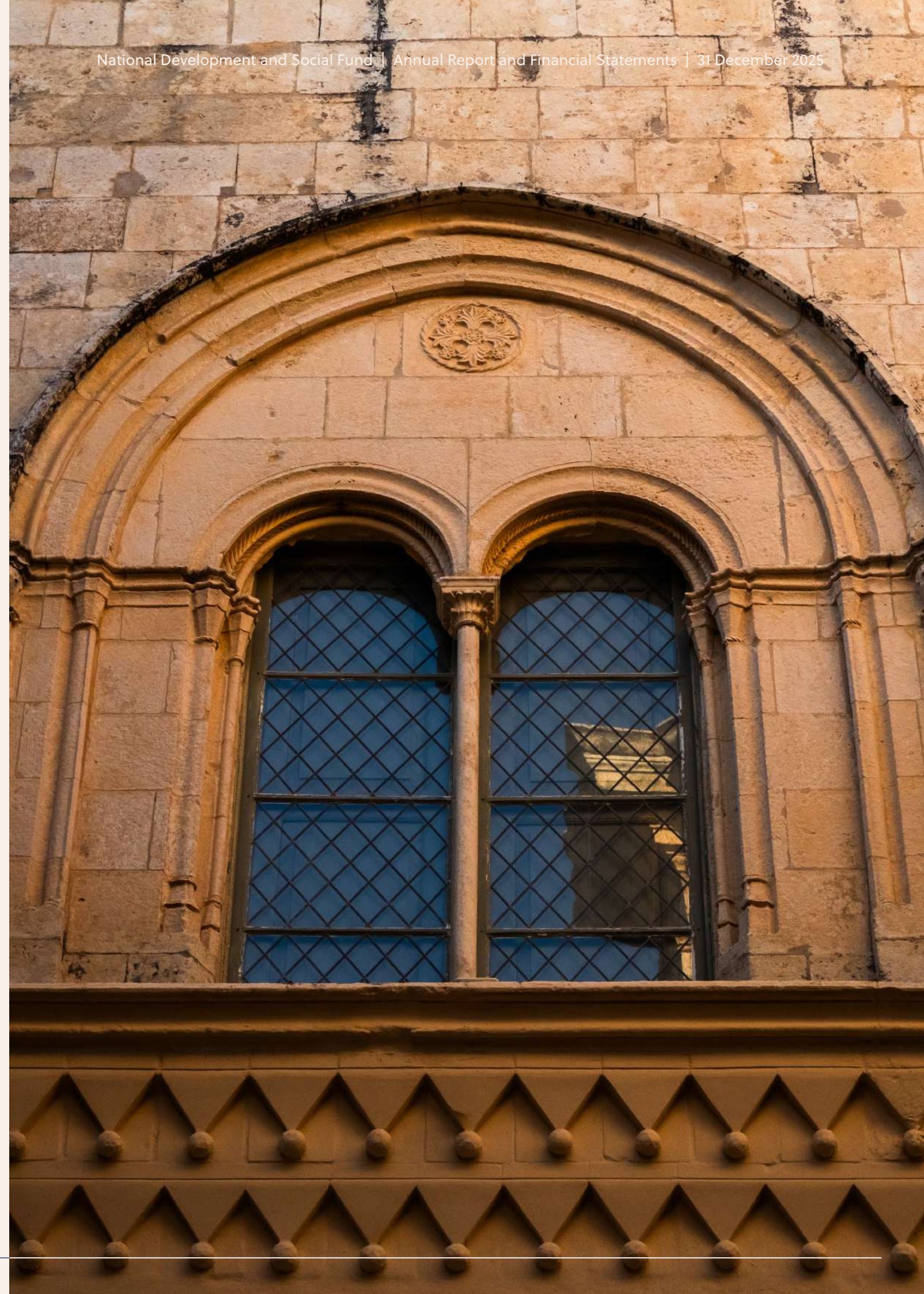
Joseph M. Zrinzo
Deputy Chairman



Raymond Ellul
Chief Executive Officer

Statement of comprehensive income

for the year ended 31 December



		Unallocated portfolio		Discretionary portfolio		Directed portfolio		Total	
	Notes	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €
Investment income									
Net fair value (losses)/gains on financial assets through profit or loss	9	-	-	(198,029)	12,248,748	4,738,964	(3,039,028)	4,540,935	9,209,720
Realised gains/(losses) on disposal of investments		-	-	2,212,176	1,343,550	14,101	(276,000)	2,226,277	1,067,550
Interest income from debt securities	9	-	-	4,745,753	3,550,920	11,942,120	10,109,031	16,687,873	13,659,951
Interest income on loan receivable	8	181,354	97,013	-	-	-	-	181,354	97,013
Dividend income from quoted equities	9	-	-	2,564,192	1,854,789	5,819,102	2,576,805	8,383,294	4,431,594
Other income									
Endowment from the Government of Malta	16	809,101	864,388	-	-	-	-	809,101	864,388
Other Income		-	58,425	-	-	-	-	-	58,425
Net Profit		990,455	1,019,826	9,324,092	18,998,007	22,514,287	9,370,808	32,828,834	29,388,641
Expenses									
Operating expenses	15	(860,494)	(934,493)	-	-	-	-	(860,494)	(934,493)
Investment charges	17	-	-	(1,240,536)	(1,157,745)	(186,118)	(205,579)	(1,426,654)	(1,363,324)
Total Expenses		(860,494)	(934,493)	(1,240,536)	(1,157,745)	(186,118)	(205,579)	(2,287,148)	(2,297,817)
Profit for the year - total comprehensive income for the year		129,961	85,333	8,083,556	17,840,262	22,328,169	9,165,229	30,541,686	27,090,824

The notes on pages 60 to 101 from an integral part of these financial statements.

Statement of changes in net assets

for the year ended 31 December



		Unallocated portfolio		Discretionary portfolio		Directed portfolio		Total	
	Notes	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €
Net assets at the beginning of the year		82,535,751	38,001,045	252,746,418	214,906,156	437,062,781	402,072,763	772,344,950	654,979,964
Movement in net assets during the year									
Comprehensive income for the year		129,961	85,333	8,083,556	17,840,262	22,328,169	9,165,229	30,541,686	27,090,824
Funds received from MIIPA and Community Malta Agency		50,366,750	93,577,700	-	-	-	-	50,366,750	93,577,700
Refund from E.U. funds	18	-	4,723,742	-	-	-	-	-	4,723,742
Transfer between portfolios		(114,709,906)	(45,824,789)	56,000,000	20,000,000	58,709,906	25,824,789	-	-
Grants and donations payable out of the Fund	18	(4,032,237)	(5,478,283)	-	-	-	-	(4,032,237)	(5,478,283)
Fair value adjustment on initial recognition of loan receivable	8	(2,482,116)	(2,548,997)	-	-	-	-	(2,482,116)	(2,548,997)
Total movement in net assets		(70,727,548)	44,534,706	64,083,556	37,840,262	81,038,075	34,990,018	74,394,083	117,364,986
Net assets at end of year		11,808,203	82,535,751	316,829,974	252,746,418	518,100,856	437,062,781	846,739,033	772,344,950

The notes on pages 60 to 101 from an integral part of these financial statements.

Statement of cash flows

for the year ended 31 December



		Unallocated portfolio		Discretionary portfolio		Directed portfolio		Total	
	Notes	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €	2025 €	2024 €
Cash flows from operating activities									
Interest income received		-	-	-	-	7,007,952	8,962,703	7,007,952	8,962,703
Dividend income received		-	-	-	-	5,819,102	2,576,805	5,819,102	2,576,805
Endowment from Government of Malta and other income		809,101	922,813	-	-	14,101	-	823,202	922,813
Operating expenses paid		(737,625)	(830,272)			(183,374)	(187,664)	(920,999)	(1,017,936)
Cash generated from operations		71,476	92,541	-	-	12,657,781	11,351,844	12,729,257	11,444,385
Cash flows from investing activities									
Transfers to directed and investment in discretionary portfolio	9	(114,709,906)	(45,824,789)	-	-	58,709,906	25,824,789	(56,000,000)	(20,000,000)
Purchase of investments	9	-	-	-	-	(236,350,546)	(294,934,038)	(236,350,546)	(294,934,038)
Disposal of investments	9	-	-	-	-	175,151,234	257,757,405	175,151,234	257,757,405
Refund from E.U. Funds	18	-	4,723,742	-	-	-	-	-	4,723,742
Purchase of property and equipment	5	-	(3,367)	-	-	-	-	-	(3,367)
Contributions paid out of the Fund	18	(3,468,801)	(5,478,283)	-	-	-	-	(3,468,801)	(5,478,283)
Cash flows used in investing activities		(118,178,707)	(46,582,697)	-	-	(2,489,406)	(11,351,844)	(120,668,113)	(57,934,541)
Cash flows from financing activities									
New funds received from MIIPA and Community Malta Agency		50,366,750	93,577,700	-	-	-	-	50,366,750	93,577,700
Principal elements of lease payments	14	(71,869)	(73,660)	-	-	-	-	(71,869)	(73,660)
Advances to the Housing Authority	8	(2,666,683)	(4,721,886)	-	-	-	-	(2,666,683)	(4,721,886)
Cash flows from financing activities		47,628,198	88,782,154	-	-	-	-	47,628,198	88,782,154
Net (decrease)/increase in cash cash equivalents		(70,479,034)	42,291,998	-	-	10,168,375	-	(60,310,659)	42,291,998
Opening cash and cash equivalents		75,761,073	33,469,075	-	-	-	-	75,761,073	33,469,075
Closing cash and cash equivalents		5,282,039	75,761,073	-	-	10,168,375	-	15,450,414	75,761,073

The notes on pages 60 to 101 from an integral part of these financial statements.

Notes to the financial statements



1. General information

The National Development and Social Fund ("The Fund") was established on 6 January 2015, by virtue of Subsidiary Legislation 188.03, Individual Investor Programme of the Republic of Malta Regulations.

Subsidiary Legislation 595.12 - National Development and Social Fund (Establishment as an Agency) ("founding regulations") has been enacted to implement the provisions of regulation 13(3) of the Individual Investor Programme of the Republic of Malta Regulations wherein it is established that the National Development and Social Fund shall have a separate legal personality. The Minister, as the Minister responsible for Home Affairs and National Security has determined, in terms of the powers conferred by the said regulation 13(3) of the Individual Investor Programme of the Republic of Malta Regulations, to establish the Fund in the form of a Government Agency.

The financial results and financial position of the Fund for the year ended 31 December 2025 have been prepared in the context of continued global economic uncertainty, characterised by persistent geopolitical tensions, inflationary pressures and episodes of financial market volatility. These conditions, together with the wider implications of the geo-political conflicts and ongoing disruptions in global markets, have had a direct and measurable effect on the Fund's investment performance, which represents the most significant impact recognised in these financial statements. The Board of Governors and management continue to assess all developments and directs the strategy and operations in the best interest of the Fund after taking cognisance of all relevant developments. The Board is satisfied that the Fund continues to maintain strong financial foundations, supported by appropriate technical and governance structures, which enable it to respond effectively to emerging risks. Operational and administrative expenditure continues to be financed entirely through endowments received from the Government of Malta, and no changes to this funding structure

are anticipated. Having considered all available information, including the Fund's continued access to government endowments and its ability to meet obligations as they fall due, the Board of Governors has concluded that the use of the going concern basis in the preparation of these financial statements remains appropriate.

2. Material accounting policy information

The accounting policies that are material to the financial statements are set out below. The accounting policies are consistent with those of the previous financial year, unless otherwise stated.

2.1 Basis of preparation

These financial statements have been prepared in accordance with International Financial Reporting Standards as adopted by the European Union (EU) ("IFRS Accounting Standards") and the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12). They are prepared under the historical cost basis as modified by the revaluation of financial assets and liabilities (including derivative financial instruments) held at fair value through profit and loss.

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires the Board of Governors to exercise their judgment in the process of applying the Fund's accounting policies (see Note 4 - Critical accounting estimates and judgments).

Regulatory developments

On 29 April 2025, the Grand Chamber, Court of Justice of the European Union delivered its judgment in case C-181/23 brought by the European Commission against Malta whereby the Court declared that Malta's framework of the acquisition of citizenship by investment amounts to the commercialisation of the grant of the nationality of a Member State and, by extension, that of Union citizenship.

Consequently, the Court also declared that such framework is in conflict with EU law. As a result, Malta repealed the related legislation, which effectively halted the Fund's main source of revenue which was generated by the apportionment to the Fund of 70% of the contributions paid by successful applicants. The Board of Governors, while taking note of this adverse development, firmly believes that the court judgement does not impinge on the Fund's ability to continue operating and fulfilling its functions and duties, after considering the Fund's stable asset base, significant income derived from its extensive investment portfolios, and the Withdrawal Policy currently in place - which governs the manner in which distributions out of the Fund are effected. The Board of Governors and Executive Management in conjunction with the Ministry for Home Affairs, will continue to explore potential alternative sources of new funds for the NDSF.

Taking cognisance of the above factors referred to above, the use of the going concern assumption in the preparation of the financial statements is considered to be appropriate and in the Board of Governors view, no material uncertainty exists which may cast significant doubt about the Fund's ability to continue operating as a going concern in the foreseeable future.

a. Standards and amendments to existing standards effective 1 January 2025

In 2025, the Fund adopted amendments and interpretations to existing standards that are mandatory for the Fund's accounting period beginning on 1 January 2025. The adoption of these revisions to the requirements of IFRSs as adopted by the EU did not result in changes to the Fund's accounting policies impacting materially the Fund's financial performance and position.

b. Standards, interpretations and amendments to published standards that are not yet effective

Certain new standards, amendments and interpretations to existing standards have been published and endorsed by the EU by the date of authorisation of these financial statements but are not yet effective for the Fund's current reporting period.

The Fund did not early adopt any new standards, amendments and interpretations to existing standards applicable to periods after 1 January 2026 and the Fund's management is of the opinion that there are no requirements that will have a possible significant impact on the Fund's financial results and financial position in the period of initial application.

Amendments to IFRS 9 and IFRS 7 - classification and measurement of financial instruments

In May 2024, the IASB issued amendments to IFRS 9 "Financial Instruments" and IFRS 7 "Financial Instruments: Disclosures", which are effective for annual reporting periods beginning on or after 1 January 2026. The amendments clarify when certain financial liabilities can be considered extinguished when settlement is made via an electronic payment system, and they also provide additional guidance on the classification of financial assets with contractual terms that modify the timing or amount of cash flows, including those linked to ESG-related contingencies, as well as financial assets with specified non-recourse features. The Fund is currently assessing the potential impact of these amendments.

IFRS 18 'Presentation and Disclosure in Financial Statements'

In April 2024, the IASB issued IFRS 18 'Presentation and Disclosure in Financial Statements', effective for annual reporting periods beginning on or after 1 January 2027. IFRS 18 has been endorsed by the EU on 13 February 2026. The new standard aims to give users of financial statements more transparent and comparable information about an entity's financial performance. It will replace IAS 1 'Presentation of Financial Statements' but carries over many requirements from that standard. In addition, there are new requirements relating to the structure of the income statement, management-defined performance measures and the aggregation and disaggregation of financial information. While IFRS 18 will not change recognition criteria or measurement bases, it may have a significant impact on presenting information in the financial statements, in particular the income statement and the cash flow statement.

The Fund will be assessing the detailed implications of applying the new standard on the Fund's financial statements subsequent to endorsement by the EU.

2.2 Foreign currency translation

The Fund's designated currency is the Euro, which is the presentation currency used in the financial statements. Transactions carried out in currencies other than the functional currency of the Fund, are to be converted to the functional currency at the rates of exchange ruling on the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the reporting period are translated at year end closing rates of exchange. Any exchange differences arising on the settlement of monetary assets and monetary liabilities, or on translating foreign denominated monetary assets and liabilities at the end of the reporting period at rates different from those at which they were previously translated, are recognised in statement of comprehensive income.

Translation differences on financial assets (including derivative financial instruments) held at fair value through profit and loss are reported as part of 'net fair value losses on financial assets through profit and loss'.

2.3 Financial assets

2.3.1 Initial recognition and measurement

The Fund recognises a financial instrument in its statement of financial position when it becomes a party to the contractual provisions of the instrument. Regular way purchases and sales of financial assets are recognised on the trade date, which is the date on which the Fund commits to purchase or sell the asset. Accordingly, the Fund uses trade date accounting for regular way contracts when recording financial asset transactions.

At initial recognition, the Fund measures a financial asset at its fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are incremental and directly attributable to the acquisition or issue of the financial asset, such as fees and commissions.

Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

At initial recognition, an Expected Credit Loss allowance ('ECL') is recognised for financial assets measured at amortised cost and investments in debt instruments measured at FVOCI, which results in an accounting loss being recognised in profit or loss when an asset is newly originated.

When the fair value of financial assets differs from the transaction price on initial recognition, the Fund recognises the difference as follows:

- when the fair value is evidenced by a quoted price in an active market for an identical asset (i.e. a Level 1 input) or based on a valuation technique that uses only data from observable markets, the difference is recognised as a gain or loss; and
- in all other cases, the difference is deferred and the timing of recognition of deferred day one profit or loss is determined individually. It is either amortised over the life of the instrument, deferred until the instrument's fair value can be determined using market observable inputs, or realised through settlement.

2.3.2 Classification and subsequent measurement

The Fund has the option to classify its financial assets in the following measurement categories:

- those to be measured subsequently at fair value (either through other comprehensive income ('OCI') or through profit or loss), and
- those to be measured at amortised cost.

The classification depends on the Fund's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Fund has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income ('FVOCI').

The Fund reclassifies debt investments when and only when its business model for managing those assets changes.

The Fund measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss (FVPL), transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVPL are expensed in profit or loss. Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

2.3.2.1 Debt instruments

Debt instruments are those instruments that meet the definition of a financial liability from the issuer's perspective, such as loans, government and corporate bonds and trade receivables purchased from clients in factoring arrangements without recourse.

Based on these factors the Fund classifies its debt instruments into one of the following three measurement categories:

- Amortised cost: Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. The carrying amount of these assets is adjusted by any ECL allowance recognised and measured. Interest income from these financial assets is included in 'Interest income' using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other gains/(losses) together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the statement of profit or loss. The Fund has a loan receivable and a fixed deposit measured at amortised cost as at 31 December 2025.

- FVOCI: Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses, interest income and foreign exchange

gains and losses which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other gains/(losses). Interest income from these financial assets is included in finance income using the effective interest rate method. Foreign exchange gains and losses are presented in other gains/(losses) and impairment expenses are presented as separate line item in the statement of profit or loss. The Fund does not hold any debt instrument measured at FVOCI as at 31 December 2025.

- FVPL: Assets that do not meet the criteria for amortised cost or FVOCI are measured at FVPL. A gain or loss on a debt investment that is subsequently measured at FVPL is recognised in profit or loss and presented net within other gains/(losses) in the period in which it arises. All of the Fund's debt investments are classified as FVPL as at 31 December 2025.

The amortised cost is the amount at which the financial asset or financial liability is measured at initial recognition minus the principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount and, for financial assets, adjusted for any credit loss allowance.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial asset or financial liability to the gross carrying amount of a financial asset (i.e. its amortised cost before any credit loss allowance) or to the amortised cost of a financial liability.

The calculation does not consider expected credit losses and includes transaction costs, premiums or discounts and fees and points paid or received that are integral to the effective interest rate, such as origination fees.

When the Fund revises the estimates of future cash flows, the carrying amount of the respective financial asset or financial liability is adjusted to reflect the new estimate discounted using the original effective interest rate. Any changes are recognised in profit or loss.

The Fund reclassifies debt instruments when and only when its business model for managing those assets changes. The reclassification takes place from the start of the first reporting period following the change. Such changes are expected to be very infrequent and none occurred during the period.

The Fund's debt instruments are measured at FVPL and amortised cost as at 31 December 2025.

(a) Business model assessment

Key management personnel determine the Fund's business model by considering the way financial instruments are managed in order to generate cash flows. That is, whether the Fund's objective is solely to collect the contractual cash flows from the assets or is to collect both the contractual cash flows and cash flows arising from the sale of assets. If neither of these is applicable (e.g. financial assets are held for trading purposes), then the financial assets are classified as part of 'other' business model and measured at FVPL. Such assessment is performed at a 'portfolio level' as it best reflects the way the business is managed and information is provided to management.

The information that will be considered in such assessment includes:

- the objectives for the portfolio including whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realising cash flows through the sale of assets;
- the method for the evaluation of the performance of the portfolio and how such performance is reported to the Fund's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed; and

- the frequency, volume and timing of sales in prior periods, the reasons for such sales and expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of an overall assessment of how the Fund's stated objective for managing the financial assets is achieved and how cash flows are realised.

Financial assets that are held for trading and those that are managed and whose performance is evaluated on a fair value basis will be measured at FVPL because they are neither held to collect contractual cash flows nor held both to collect contractual cash flows and to sell financial assets. Securities held for trading are held principally for the purpose of selling in the near term or are part of a portfolio of financial instruments that are managed together and for which there is evidence of a recent actual pattern of short-term profit-taking.

The Fund may also irrevocably designate financial assets at fair value through profit or loss if doing so significantly reduces or eliminates a mismatch created by assets and liabilities being measured on different bases.

(b) Cash flows that represent solely payment of principal and interest ('SPPI')

In respect of assets where the intention of the business model is to hold the financial assets to collect the contractual cash flows or to hold to collect and to sell, the Fund assesses whether the financial instruments' cash flows represent solely payments of principal and interest (the SPPI test). In making this assessment, the Fund considers whether the contractual cash flows are consistent with a basic lending agreement. 'Principal' is the fair value of the financial asset at initial recognition. It is not the amount that is due under the contractual terms of an instrument. 'Interest' is the compensation for time value of money and credit risk of a basic lending-type return. A basic lending-type return could also include consideration for other basic lending risks (for example, liquidity risk) and consideration for costs associated with holding the financial asset for a particular period of time (for example, servicing or administrative costs) and/or a profit margin that is consistent with a basic lending arrangement. Where the contractual terms introduce exposure to risk

or volatility that are inconsistent with a basic lending arrangement, the related financial asset is classified and measured at fair value through profit or loss.

Unlike the business model assessment, the SPPI assessment is performed for each individual product or portfolio of products. The following considerations are made when assessing consistency with SPPI:

- contingent events that would change the amount and timing of cash flows such as contractual term resetting interest to a higher amount in the event of a missed payment;
- leverage features, being contractual cash flow characteristics that increase the variability of the contractual cash flows with the result that they do not have economic characteristics of interest;
- contractual terms that allow the issuer to prepay (or the holder to put a debt instrument back to the issuer) before maturity and the prepayment amount substantially represents unpaid amounts of principal and interest, which may include reasonable compensation for early termination of the contract;
- contractual terms that allow the issuer or holder to extend the contractual term and the terms of the extension option result in contractual cash flows during the extension period that are solely payments of principal and interest, which may include reasonable compensation for the extension of the contract; and
- features that modify consideration for the time value of money (for example, periodic reset of interest rates).

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payments of principal and interest.

2.3.2.2 Equity instruments

The Fund subsequently measures all equity investments at fair value. Where the Fund's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other income when the Fund's right to receive payments is established.

Changes in the fair value of financial assets at FVPL are recognised in other gains/(losses) in the statement of profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVOCI are not reported separately from other changes in fair value.

All of the Fund's equity investments are measured at FVPL as at 31 December 2025.

2.3.2.3 Impairment of financial assets

The Fund assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For receivables carried at amortised cost, the Fund applies the simplified approach permitted by IFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

For financial assets carried at FVOCI, the Fund assesses on a forward-looking basis the expected credit losses ('ECL') on the basis of the 'three-stage' model for impairment outlined by IFRS 9, based on changes in credit quality since initial recognition.

2.3.2.4 *Derecognition of financial assets (other than on a modification)*

Financial assets, or a portion thereof, are derecognised when the contractual rights to receive the cash flows from the assets have expired, or when they have been transferred and either (i) the Fund transfers substantially all the risks and rewards of ownership, or (ii) the Fund neither transfers nor retains substantially all the risks and rewards of ownership and the Fund has not retained control.

2.4 Property and equipment

Property and equipment are stated at historical cost less accumulated depreciation and impairment losses, if any. Historical cost includes expenditures that are directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Fund and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

Depreciation is calculated using the straight-line method to allocate their costs to their residual values over their estimated useful lives (in years), as follows:

Computer equipment	20% of cost per year
Computer software	20% of cost per year
Office equipment	20% of cost per year

The assets' residual values and useful lives are reviewed, and adjusted as appropriate, at each reporting date to ensure that the method and period of depreciation and amortization are consistent with the expected pattern of economic benefits from items of property and equipment.

An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

The carrying amount of an item of property and equipment is derecognized on disposal or when no future economic benefits are expected from its use or disposal. When assets are derecognized, their cost, accumulated depreciation, and accumulated impairment losses, if any, are eliminated from the accounts. Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognized within other income (expenses) in profit or loss.

2.5 Heritage assets

Heritage assets represents property owned by the entity that is held and/or maintained principally for their contribution to knowledge and culture and for capital appreciation purposes.

Heritage assets are measured initially at their historical cost, including related transaction costs. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

After initial recognition, heritage asset is carried at fair value, representing open market value determined on a periodic basis. Fair value is based on active market prices, adjusted, if necessary, for any difference in the nature, location, or condition of the specific assets. If this information is not available, the Fund uses alternative valuation methods, such as recent prices on less active markets or discounted cash flow projections. Valuations are performed as of the end of the reporting period by professional valuers who hold recognised and relevant professional qualifications and have recent experience in category of the heritage asset being valued. These valuations form the basis for the carrying amounts in the financial statements.

Subsequent expenditure is capitalised to the asset's carrying amount only when it is probable that future economic benefits associated with the expenditure will flow to the Fund and the cost of the item can be measured reliably. All other repairs and maintenance costs are charged to profit or loss during the financial period in which they are incurred.

Changes in fair values are recognised in profit or loss. Heritage assets are derecognised either when they have been disposed of or when the heritage asset is permanently withdrawn from use and no future economic benefit is expected from its disposal.

2.6 Leases

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Fund.

Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability includes the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate initially measured using the index or rate as at the commencement date;
- amounts expected to be payable by the Fund under residual value guarantees;
- the exercise price of a purchase option if the Fund is reasonably certain to exercise that option; and
- payments of penalties for terminating the lease, if the lease term reflects the Fund exercising that option.

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the lessee's incremental borrowing rate, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of the lease liability;

- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Payments associated with short-term leases and leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less.

Entity-specific details about the Fund's leasing policy are provided in Note 6.

2.7 Prepayments and other current assets

Prepayments are expenses paid in cash and recorded as assets at cost before they are used or consumed, as the service or benefit will be received in the future. Prepayments expire and are recognized as expense either with the passage of time, through use or consumption.

Other current assets include assets that are realised as part of the normal operating cycle and are included in current assets, except for maturities greater than twelve (12) months after the reporting date, in which case, these are classified as non-current assets. Other assets are recognized at cost and are derecognized when used, consumed, sold or when it has been determined that there are no future benefits to the Fund.

2.8 Receivables and prepayments

The Fund's receivables mainly consist of accrued interest on investments. Other items include balances due from the Malta Individual Investor Programme Agency (MIIPA) and Community Malta Agency, the Government of Malta.

These amounts are recognised initially at fair value and subsequently measured at amortised cost. At each reporting date, the Fund shall measure the loss allowance on amounts due from each entity at an amount equal to the lifetime expected credit losses if the credit risk has increased significantly since initial recognition.

If, at the reporting date, the credit risk has not increased significantly since initial recognition, the Fund shall measure the loss allowance at an amount equal to 12-month expected credit losses.

2.9 Cash and cash equivalents

Cash and cash equivalents are carried in the statement of financial position at face value less expected credit loss allowance. Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition, including cash in hand, deposits held at call with banks and other short-term highly liquid investments with original maturities of three months or less.

2.10 Deferred grants

Deferred grants represent amount received from the Government of Malta (GOM) for expenditures reimbursed by the latter to the Fund. Deferred grants are recognized once the amounts are receivable. It is initially recorded at the fair value of the amount to be received.

Deferred grants are derecognized against revenue when the conditions relating to the grant are met. Conditions may pertain to passage of time, in which deferred grants are recognized over time, or on the actual completion or disposal of the asset to which the grant relates to.

2.11 Income recognition

All distributions from financial assets included in the statements of comprehensive income are recognised on the date of which the stock is quoted ex-dividend up to the Fund's reporting date.

Other gains or losses, including interest income, arising from changes in the fair value of the financial assets at fair value through profit and loss category are presented in the statements of comprehensive income within other net fair value movements on financial assets at fair value through profit and loss in the period in which they arise.

In view of the Fund's status as a Government agency, its operating expenses are financed through an endowment received from the Government of Malta, in accordance with the Public Administration Act. The endowment is provided on the basis of an annual budget submitted by the Fund and approved by the Government of Malta.

2.12 Funds received from other government agencies

Funds received from other government agencies are treated as capital contributions and are recognised directly in the Fund's net assets when entitlement to receive such funds is established and the amounts become receivable.

2.13 Grants and donation paid out

The Fund recognises grants or donations payable to third parties in the Statement of Net Assets in its financial statements at their fair value, when a determination to transfer economic benefits has been made by the Fund or when the contractual conditions which would permit the transfer of economic benefits to the party receiving the donation or grant have been met.

When the Fund elects to fund a project or pay a donation, and the underlying project has not been completed and/or the conditions attached to the project have not yet been fulfilled, the unpaid portion of the approved grant or donation is recognised as a commitment.

3. Fund Portfolios

3.1 Discretionary Portfolio

The Discretionary Portfolio holds investments which equal to 38% (2024: 37%) of all funds received from the Identity Malta by the Fund. Up to 20 November 2020, the Identity Malta was replaced, and it was MIIPA who was transferring the funds to NDSF. MIIPA was eventually replaced by the Community Malta Agency. As explained in Note 2.1, this programme was terminated during 2025 following the EU Court of Justice ruling. The NDSF awarded an investment, management, custody and administration mandate to the Central Bank of Malta (CBM) to manage this portfolio on a discretionary basis.

The Central Bank of Malta is required to hold or invest the assets of the Fund as set out in the mandate given to it by the Fund which includes the strategic asset allocation and tactical ranges of the investments together with the broad risk parameters of the portfolio. The Discretionary Portfolio will include solely investments in financial instruments.

The overall objective of the discretionary portfolio is the preservation of capital and the re-investment of investment returns over the long term.

3.2 Directed Portfolio

The Directed Portfolio holds 62% (2024: 63%) of all funds received by NDSF up until 29 April 2025 when the programme was terminated as explained above. The holding, management, directions and disposals of the directed investments, must be in accordance with the provisions of S.L. 188.03 and S.L. 595.12 and must satisfy the investment criteria stated in the Investment Policy of the Fund as articulated by the Board of Governors from time to time. Any interest or other income received in respect of deposits and/or securities held in the Directed Portfolio are reinvested or disbursed by the Fund as may be decided by the Board of Governors.

In general, the Fund expects to receive a commercial return on the assets held in the Directed Portfolio.

The Directed Portfolio will also be used to fund social and economic initiatives in respect of which there will be no direct financial return to the Fund. In such instances, the investment will be considered by the Fund as a grant which will yield a "social or economic return". All investment proposals in respect of which there is no direct financial return to the Fund are evaluated by the Board of Governors to ensure that such investments generate a positive social or economic impact.

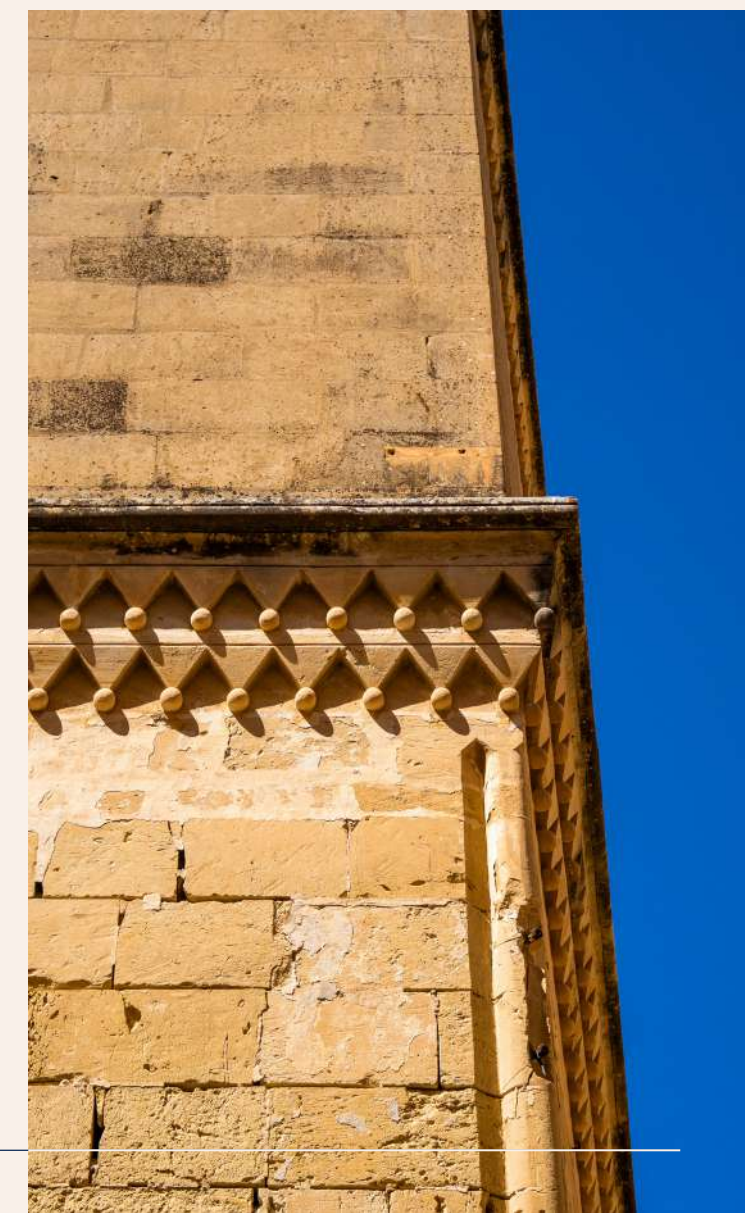
3.3 Unallocated Portfolio

Funds that are not allocated to either the Discretionary Portfolio or the Directed Portfolio are retained in an Unallocated Portfolio.

4. Critical accounting estimates and judgements

Estimates and judgments are continually evaluated, and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

In the opinion of the Board of Governors, the accounting estimates and judgements made in the course of preparing these financial statements are not difficult, subjective or complex to a degree which would warrant their description as critical in terms of the requirements of IAS 1.



5. Property and equipment

Details and movements of property and equipment, excluding the right-of-use asset, as at 31 December 2025 and 2024 are as follows:

Unallocated Portfolio			
	Office equipment €	Furniture and fixtures €	Total €
At 1 January 2024			
Cost	10,829	4,531	15,360
Accumulated depreciation	(7,719)	(1,208)	(8,927)
Net book amount	3,110	3,323	6,433
Year ended 31 December 2024			
Opening net book amount	3,110	3,323	6,433
Additions	2,816	550	3,366
Disposals	(2,398)	-	(2,398)
Depreciation charge (Note 15)	(1,732)	(1,016)	(2,748)
Depreciation released on disposal	2,398	-	2,398
Closing net book amount	4,194	2,857	7,051
At 31 December 2024			
Cost	11,247	5,081	16,328
Accumulated depreciation	(7,053)	(2,224)	(9,277)
Net book amount	4,194	2,857	7,051
Year ended 31 December 2025			
Opening net book amount	4,194	2,857	7,051
Depreciation charge (Note 15)	(1,732)	(1,016)	(2,748)
Closing net book amount	2,462	1,841	4,303
At 31 December 2025			
Cost	11,247	5,081	16,328
Accumulated depreciation	(8,785)	(3,240)	(12,025)
Net book amount	2,462	1,841	4,303

The details of the right-of-use asset which are accounted for within property and equipment as at 31 December 2025 and 2024 are as follows:

Unallocated Portfolio

	2025 €	2024 €
Year ended 31 December		
Opening net book amount	129,333	198,782
Depreciation charge (Note 15)	(67,161)	(69,449)
Closing net book amount	62,172	129,333
At 31 December		
Cost	557,928	557,928
Accumulated depreciation	(495,756)	(428,595)
Closing net book amount	62,172	129,333

The details of the related lease liability are disclosed in Note 14. Further detail on the lease agreement is disclosed in Note 6.

6. Lease agreements

On 11 December 2018, the Fund entered into a cancellable lease agreement with third parties in relation to an office space in Balzan. The term is for a period of four years and is subject to escalation clause of 2% annually after the second year of lease. The lease agreement does not impose any covenants.

A security deposit in 2018 amounting to €10,000 has been paid out and is accounted for as "Other non-current asset" in the unallocated portfolio of the statement of financial position.

As from 1 January 2019, the above lease was recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Fund. Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period to produce a constant periodic rate of interest on the remaining balance of the liability for each period. The right-of-use asset is amortised over the shorter of the asset's useful life and the lease term on a straight-line basis.

The lease was renewed on 11 December 2022 under the same terms and conditions.

Extension and termination options

Extension and termination options are included in the office rental agreement of the Fund. These terms are used to maximise operational flexibility in terms of managing the said contract. The said options are exercisable only by the Fund and not by the respective lessor.

(i) Amounts recognised in the statement of financial position

The disclosures in relation to the right-of-use asset and its related lease liability recognised in the statement of financial position are discussed in Notes 6 and 13.

(ii) Amounts recognised in the statement of comprehensive income

The statement of comprehensive income shows the following amounts relating to leases:

Unallocated Portfolio

	2025 €	2024 €
Depreciation charge of right of use asset (Note 5)	67,161	69,449
Finance cost (Note 14)	3,086	6,006
	70,247	75,455

The above expenses are recorded under “Operating expenses” in the statement of comprehensive income.

7. Heritage asset

In 2020, the Fund purchased Mattia Preti’s oil on canvas painting named “Boethius and Philosophy” for a consideration of €1,480,503 (including transaction costs) by means of an online auction organised in New York. The acquisition is deemed to be an investment in the preservation of Malta’s cultural patrimony for the enjoyment of current and future generations. According to the Social Grant Agreement, the masterpiece, which continues to be owned by the Fund, has been loaned out to Heritage Malta for the benefit of present and future generations. The painting is on permanent display at the President’s palace in Valletta.

As explained in Note 2.5, Heritage assets are measured initially at their historical cost, including related transaction costs. Historical cost includes expenditure that is directly attributable to the acquisition of the items. After initial recognition, heritage asset is carried at fair value, representing open market value determined on a periodic basis.

Details and movement of the Fund’s heritage asset is as follows:

Unallocated Portfolio

	2025 €	2024 €
Cost and carrying amount		
At beginning and end of year	1,480,503	1,480,503

8. Loan receivable

Unallocated Portfolio

	2025 €	2024 €
Loan receivable	5,209,129	4,848,723
	5,209,129	4,848,723

The movement in loan receivable measured at amortised cost is summarised as follows:

	2025 €	2024 €
Year ended 31 December		
Opening balance	4,848,723	2,588,737
Additions	184,568	2,172,889
Interest income	181,354	97,013
Expected credit loss	(5,516)	(9,916)
	5,209,129	4,848,723

In 2021, the NDSF and the Housing Authority entered into an agreement whereby the Authority transferred several plots of land to NDSF by title of temporary emphyteusis for a period of 65 years, which the NSDF would develop into habitable social housing. Subsequently, NDSF entered into a lease agreement with the Housing Authority where the same property was leased back to the Housing Authority. The NDSF has committed provide funding of up to €66,000,000 (Note 19).

At the end of the temporary emphyteusis, the Housing Authority will pay back to the NDSF, in a lump sum of up to €66,000,000 and 1% annual interest per annum which will be accrued, deferred and paid on a cumulative basis at the same time. At the end of the 65-year emphyteusis period, NDSF will return legal title over the sites to the Housing Authority.

In the context of the agreements in place referred to above, and the substance of the arrangement, the funding by NDSF to the Housing Authority under the social housing project is deemed

to be a credit agreement and, each drawdown made by the Housing Authority is treated by the Fund as a loan receivable. The Fund’s business model is to hold these loan receivables until the end of the emphyteusis period and to collect the contractual cash flows in accordance with the terms of the agreement. Accordingly, each loan receivable is initially recognised at fair value in accordance with IFRS 9 and is subsequently measured at amortised cost.

The contractual interest rate of 1% is not deemed to reflect the prevailing market interest rate at the dates of drawdown after also considering that both contractual parties are government entities and the lower interest rate is deemed to represents a transfer of value to another government entity. Consequently, the fair value of the loan at initial recognition, being the date of drawdown, differs from the amount of cash advanced. The fair value is determined by discounting the expected future contractual cash flows using prevailing market interest rate applicable to instruments with similar terms, maturity and credit risk.

The resulting difference represents a fair value adjustment recognised directly in the net asset of the Fund upon initial recognition of each loan drawdown.

During the year ended 31 December 2025, the total cash drawn down under the agreement amounted to €2,666,683 (2024: €4,721,886). This resulted in a difference between the fair value of the loan and the cash advanced of €2,482,116 (2024: €2,548,997), which as previously explained, has been accounted in the statement of changes in net assets.

9. Financial investments

Discretionary portfolio

The balance of the investments within this portfolio as at 31 December is as follows:

	2025 €	2024 €
Financial assets designated at fair value through profit or loss at inception		
Current		
Equity securities	73,882,537	57,941,429
Debt securities	235,774,751	191,542,670
Derivative assets	52,310	187,347
	309,709,598	249,671,446

The above equity and debt securities are listed on the Malta Stock Exchange or on other recognised exchanges.

The movements in investments in the Discretionary Portfolio classified as fair value through profit or loss are summarised as follows:

	2025 €	2024 €
Year ended 31 December		
At beginning of year	249,671,446	208,192,656
Additions	134,073,004	110,125,120
Disposals	(73,836,823)	(80,895,078)
Net fair value (losses)/gains	(198,029)	12,248,748
	309,709,598	249,671,446

In 2025, the discretionary portfolio holds derivative financial instruments within this portfolio amounting to €52,310 (2024: €187,347).

These relate to futures and options contracts. Future contracts are contractual obligations to buy or sell financial instruments on a future date at a specified price established in an organised market. The futures contracts are collateralised by cash or marketable securities. Interest rate futures are contractual obligations to receive or pay a net amount based on changes in interest rates at a future date at a specified price, established in an organised financial market.

In 2025, NDSF transferred €56,000,000 (2024: €20,000,000) to the discretionary portfolio as additional investment.

Movements within the discretionary portfolio primarily comprise purchases, disposals and fair value changes of financial instruments. As these movements are settled and reinvested within the portfolio, they do not give rise to cash flows of the Fund as defined under IAS 7. As a result, such movements are reflected in the statement of financial position and the statement of comprehensive income, as applicable, rather than in the statement of cash flows.

Total investment income as at 31 December 2025 and 2024 are summarised as follows:

	2025 €	2024 €
Interest income on debt securities	4,745,753	3,550,920
Dividend income on equity securities	2,564,192	1,854,789
Total interest and dividend income	7,309,945	5,405,709

Directed portfolio

The balance of the investments as at 31 December is as follows:

	2025 €	2024 €
Financial asset measured at amortised cost		
Fixed term deposit	10,000,000	10,000,000
Financial assets measured at FVPL		
Equity securities	96,305,054	88,756,155
Debt securities	394,174,078	335,784,701
	490,479,132	424,540,856

The above equity and debt securities are listed on the Malta Stock Exchange or on other recognised exchanges.

The movements in investments measured at FVPL are summarised as follows:

Equity securities

	2025 €	2024 €
<i>Year ended 31 December</i>		
At beginning of year	88,756,155	92,047,261
Additions	4,348,553	-
Disposals	(2,669,940)	-
Net fair value gains/(losses)	5,870,286	(3,291,106)
	96,305,054	88,756,155

Debt securities

<i>Year ended 31 December</i>		
At beginning of year	335,784,701	298,631,990
Additions	232,001,993	294,934,038
Disposals	(172,481,294)	(258,033,405)
Net fair value (losses)/gains	(1,131,322)	252,078
	394,174,078	335,784,701

Fixed term deposit

<i>Year ended 31 December</i>		
Opening and closing balance	10,000,000	10,000,000
	10,000,000	10,000,000

As at 31 December 2025 and 2024, the credit loss allowance on fixed term deposit was insignificant. Total investment income as at 31 December 2025 and 2024 are summarised as follows:

	2025 €	2024 €
Interest income on debt securities	11,942,120	10,109,031
Dividend income on equity securities	5,819,102	2,576,805
Total interest and dividend income	17,761,222	12,685,836

As at 31 December 2025, the Fund has a fixed deposit amounting to €10,000,000 with APS Bank which is subject to a fixed rate of 5% interest per annum and repayable on 29 December 2026.

10. Other current assets

Discretionary portfolio

	2025 €	2024 €
Current		
Restricted cash (Note 9)	5,870,428	2,122,033

The restricted cash represents the unutilised fund on the Discretionary portfolio held with the CBM and BOV Asset Management, in accordance with the agreements as disclosed in Note 9.

11. Receivables and prepayments

Details of the Fund's receivables and prepayments as of the year ended 31 December 2025 and 2024 are shown below:

Discretionary portfolio

	2025 €	2024 €
Current		
Accrued interest receivable	1,999,759	1,623,579

Directed portfolio

	2025 €	2024 €
Current		
Accrued interest receivable	3,474,008	2,539,840
Other financial asset	4,000,000	-
	7,474,008	2,539,840

Unallocated portfolio

	2025 €	2024 €
Prepaid rent	13,570	13,570
Other prepayments	100,000	513,329
Total receivables and prepayments	113,570	526,899

Other prepayments represent advance payments made in respect of a social project

12. Cash and cash equivalents

Unallocated portfolio

	2025 €	2024 €
Cash at bank	5,282,039	75,761,073

Directed portfolio

	2025 €	2024 €
Cash at bank	10,168,375	-

The Fund’s exposure to credit risk relating to cash and cash equivalents is disclosed in Note 22 to these financial statements.

13. Accruals and other liabilities

Directed portfolio

	2025 €	2024 €
Other accruals	20,659	17,915

Discretionary portfolio

	2025 €	2024 €
Accrued investment charges	749,811	670,640

Unallocated portfolio

	2025 €	2024 €
Deferred grants	-	4,010
Other payables	278,482	80,007
	278,482	84,017
Total accrued expenses and other liabilities	1,048,952	772,572

Accrued investment charges represent the unpaid portion of management, custody and administration fees incurred.

The deferred grants represent financing received from the Government of Malta in connection with the investment in property and equipment made by the Fund (Note 5).

Others include accruals relating to professional fees, advertising, utilities and salaries.

14. Lease liability

The lease liability associated with the right-of-use asset relates to the below:

Unallocated portfolio

	2025 €	2024 €
Non-current	-	72,994
Current	75,031	70,820
	75,031	143,814

The movement in the carrying amount of the lease liability is analysed in the following table:

Unallocated portfolio

	2025 €	2024 €
At the beginning of year	143,814	211,468
Payments effected	(71,869)	(73,660)
Finance costs	3,086	6,006
At end of year	75,031	143,814

Further disclosure on leases is disclosed in Note 6.

The Fund’s exposure to liquidity risk relating to lease liability is disclosed in Note 22 to these financial statements.



15. Operating expenses

(a) Auditor's fees

Fees (exclusive of VAT and out-of-pocket expenses) charged by the auditor for services rendered to the Fund relate to:

Unallocated portfolio

	2025 €	2024 €
Statutory audit	35,000	35,000
Other services	5,750	5,000
	40,750	40,000

(b) Remuneration

The following remuneration was paid by the Fund during the years ending 31 December:

Unallocated portfolio

	2025 €	2024 €
Governors' honoraria	57,560	60,075
Wages and salaries	482,942	494,313
	540,502	554,388

Further disclosure on leases is disclosed in Note 6.

The Fund's exposure to liquidity risk relating to lease liability is disclosed in Note 22 to these financial statements.

The average number of employees during the year was 16 (2024: 17).

(c) Other operating expenses

The details of the Fund's other operating expenses follow:

Unallocated portfolio

	2025 €	2024 €
Professional fees	107,068	114,445
Depreciation (Note 5)	69,909	72,197
Subscriptions	38,381	46,923
Marketing and advertising	3,791	2,157
Finance cost	3,086	6,374
Other expenses	57,007	98,009
Total other operating expenses	279,242	340,105
Total unallocated portfolio	860,494	934,493

16. Endowment from the Government of Malta

In view of the Fund's Government agency status, €809,101 (2024: €864,388) of operating expenses were financed through an endowment from the Government of Malta, in accordance with the Public Administration Act.

17. Investment charges

Total amount of investment charges as at 31 December 2025 are summarised as follows:

Directed portfolio

	2025 €	2024 €
Investment management expense	186,118	205,579

Discretionary portfolio

	2025 €	2024 €
Investment management expense	1,240,536	1,157,745

18. Grants and donations payable out of the Fund

The Fund receives proposals for social grants from either voluntary organisations or public entities which are examined in detail. The evaluation is a three-step process which starts from explaining the purpose of the social grant and assessing whether it is line with the stated objectives of the Fund as detailed in the founding regulations (S.L. 595.12) and its investment policy. After which, an internal analysis of the proposal is carried out to determine the monetised social benefit of the project according to a cost-benefit analysis which the Fund requires the potential beneficiary to provide with each proposal. The request is placed on the agenda of the Advisory Board which may request further information or resolve to forward such request to the Board of Governors for its final consideration. The Board of Governors will then decide whether or not to proceed with the awarding of the grant subject to a Memorandum of Agreement between Fund and the beneficiary.

The Fund retains the right to carry out a post-implementation exercise to determine the efficacy of the grant in relation to the stated purpose and attach other conditions on beneficiary, on a case-by-case basis. In respect of major projects which entail capital expenditure, the Fund engaged an independent third party to provide verification and ongoing monitoring of project implementation. Following a public call for the provision of monitoring services, QP Management Limited was commissioned by NDSF to provide Project Technical Monitoring services covering the Engineering, Procurement and Construction Management for its funded social projects. QP Management Limited, has during the year carried out a number of reviews and reported to the Board on a number of projects.

During the year, the Fund accounted for the following grant and donations:

Unallocated portfolio

	2025 €	2024 €
SportMalta	2,223,195	1,471,538
INDIS	682,959	-
Malta Football Association Technical Centre	604,265	1,057,163
Primary Healthcare (Ministry for Health)	474,818	27,052
Donations to other projects	47,000	89,500
Hospice	-	2,316,033
Urban Greening projects	-	516,997
Total grant and donations payable out of the Fund	4,032,237	5,478,283

The total amount of committed funds which have not been fully utilised as of 31 December 2025 to the above-mentioned organisations is disclosed in Note 19.

During 2024, EU-eligible funding relating to health, palliative care and rehabilitation projects was made available to beneficiaries for eligible expenditure incurred up to 31 December 2023. As a result, certain projects funded by NDSF were deemed eligible for EU reimbursement. Accordingly, funds amounting to €4,723,742 were refunded to NDSF in respect of the St. Michael Hospice and Caritas Community Centre projects.

19. Commitments

- 19.1
- On 30 January 2017, NDSF funded €950,000 in expenditure for the upgrade of Mater Dei Hospital’s Cardiology Department, focusing on the two cardiac catheterisation suites. The investment reduced equipment downtime, extended the operational life of the systems and strengthened the Department’s capacity to provide specialised cardiac treatment locally. This improved continuity of care, reduced reliance on overseas treatment and generated wider healthcare, social and economic benefits.
- 19.2
- During the year ended 31 December 2018, the Board of Governors committed the sum of €50,000,000 to the Housing Authority to finance a project aimed to assist a small part of the population of Malta with social housing needs. In December 2020, due to the recent developments on the planned social housing project, a 10% contingency was reserved by the Board thereby increasing the total commitment to €66,000,000. Total disbursements as at 31 December 2025 amounted to €13,027,358 (2024: €10,360,677).

During the 2025, developments arose in relation to one of the social housing programme’s major projects, resulting in revised cost estimates and delays to the expected completion timeline. The Fund is engaging with the Housing Authority and the Government of Malta to assess the implications of these developments and the appropriate way forward. As at the date of approval of these financial statements, the ultimate impact on the programme, including the final level of funding required and timing of completion, remains uncertain.

- 19.3
- During 2019, an amount of €1,000,000 was committed by the Fund to Caritas Malta to co-fund the investment in a modern centre named Caritas Community Centre. Such centre will house all non-residential Caritas community services. Also in 2019, a further €540,000 was committed to the same organisation for the upgrading of the San Blas Drug Rehabilitation Centre. In addition, a donation of €150,500 was granted and paid during 2021. Total disbursements as at 31 December 2025 and 2024 amounted to €1,690,378.
- 19.4
- The Puttinu London Apartments Project is a social initiative designed to support Maltese and Gozitan patients and their families who must travel to the United Kingdom for specialised medical treatment. The project was financed in part through an allocation from the National Development and Social Fund in 2020 amounting to €5,000,000, which was intended to cover the promise of sale for the property. As at 31 December 2025, the total project contribution of €5,000,000 had been fully disbursed.

The purpose-built residential complex consists of fully equipped apartments designed to provide a safe and dignified home away from home for patients and their families during extended treatment periods abroad. By addressing accommodation needs close to major London hospitals, the initiative seeks to reduce the financial, emotional, and logistical burden associated with overseas medical care, allowing families to focus on recovery and wellbeing.

The project reflects Malta’s values of solidarity and compassion, complements the work of Puttinu Cares, and represents a long-term investment in social equity and support for vulnerable families.

- 19.5 In 2019, the Fund entered into a Memorandum of Agreement with Primary Health Care division for a €10,000,000 grant towards the co-funding of an upgrading programme covering over 50 clinics and 8 health centres across Malta and Gozo. Total disbursements as at 31 December 2025 amounted to €5,553,002 (2024: €5,078,184).

During 2025, following matters arising in relation to the remaining tranche of the grant, the Fund decided not to renew the funding agreement upon expiry and did not fund the outstanding reimbursement claims submitted by the beneficiary. The Fund is currently assessing the appropriate way forward and, as at the date of approval of these financial statements, the ultimate outcome and treatment of the remaining unpaid commitment of approximately €4.4 million remains to be determined.

- 19.6 In June 2021, the Fund entered into a Memorandum of Agreement with Hospice Malta for a social grant of €8,000,000 towards the development of the St. Michael Hospice Palliative Care Centre in Sta Venera on the ex-Adelaide Cini Institute premises.

During 2025, the amount approved in respect of the National Development and Social Fund (NDSF) contribution towards the St Michael Hospice Project was revised to €4,006,607. The original funding arrangement provided for an €8,000,000 Social Grant from NDSF towards the co-financing of the St Michael Hospice Palliative Care Centre. Subsequently, a tripartite agreement between NDSF, Hospice Malta and the Planning and Priorities Co-ordination Division (PPCD) provided for the partial reimbursement to NDSF of expenditure that qualified for funding under the European Regional Development Fund (ERDF). The agreement established the amount eligible for reimbursement at €3,993,394.

As a result of this arrangement, part of the expenditure originally financed through the NDSF grant became eligible for reimbursement from ERDF funds. Consequently, the NDSF funding attributable to the project was adjusted during 2025 to reflect the portion of expenditure financed through ERDF, resulting in a revised approved amount of €4,006,607.

This revision therefore reflects a change in the financing composition of the project rather than an increase or reduction in the overall project scope or approved expenditure. It recognises the transfer of part of the financing burden from NDSF to ERDF following confirmation of the expenditure eligible for reimbursement under the tripartite agreement.

Total disbursements as at 31 December 2025 amounted to €3,816,019.

- 19.7 The illumination project of the Walled City of Mdina was approved by NDSF Board on 18 May 2021, with an approved budget of €1,000,000. The aim of the project is to enhance the visual appreciation of Mdina's fortifications and architectural heritage through a sensitive and sustainable lighting scheme, while respecting the city's historical significance, improving night-time visibility, and reinforcing Mdina's identity as a cultural and touristic landmark. The project also seeks to achieve energy efficiency, minimise light pollution, and comply with relevant conservation and environmental standards.

The cost to completion of the Project is expected to require further funding of approximately €1,200,000, primarily to compensate for increases in project costs. On 21 November 2024, NDSF Board approved additional funding of up to a maximum amount of €600,000 towards the Illumination Project of the Walled City of Mdina. The remaining balance required to complete the Project will be covered through Infrastructure Malta's own capital budget allocation. No contributions were paid out during the year. Total disbursements as at 31 December 2025 and 2024 amounted to €363,892.

- 19.8 On 14 June 2021, the Fund entered into a Memorandum of Agreement with SportMalta on the NDSF Social Grant of €4,910,500 towards the financing of technical support in the preparation of Maltese Athletes for the Games of Small States of Europe (GSSE) in 2023. In 2023, this was increased to €5,153,500. Total disbursements as at 31 December 2025 amounted to €4,685,021 (2024: €4,252,259).

- 19.9 The Urban Greening Projects programme is a nationwide environmental initiative implemented by WasteServ Malta, which was granted funding in 2021 amounting to €4,500,000. This funding was subsequently increased to €4,840,509 in 2024. It is aimed at transforming built-up urban areas into greener, more liveable environments across Malta. The programme includes completed projects in Mosta, Ħamrun, and Żabbar, with works in Qormi ongoing, delivering interventions such as vertical green façades, rooftop and landscaped green spaces, water features, improved pedestrian access, and recreational amenities. These projects enhance air quality, reduce noise and urban heat, encourage physical activity and social interaction, and strengthen climate resilience, contributing to improved quality of life, environmental sustainability, and long-term community wellbeing in Malta's urban centres. Total disbursements as at 31 December 2025 amounted to €4,797,582 (2024: €4,797,582).

- 19.10 The Mosta Rotunda Basilica Illumination Project is a cultural heritage initiative which has been supported by NDSF by a fund of €858,850 from NDSF, aimed at enhancing the visual prominence of one of Malta's most iconic landmarks while promoting cultural tourism and heritage appreciation. Completed and inaugurated in August 2022, the project introduced a modern, energy-efficient lighting system that highlights the architectural features of the Basilica, creating a distinctive nighttime landmark that enhances the surrounding urban area. The project contributes to heritage preservation through sustainable lighting technology, strengthens national pride, and supports local economic activity by increasing visitor appeal during evening hours. Total disbursements as at 31 December 2025 and 2024 amounted to €803,794.

- 19.11 The Hope Guarantee Scheme is a social intervention aimed at facilitating access to home ownership for individuals and couples who are unable to obtain mortgage financing due to medical conditions or disabilities that prevent them from securing mandatory life insurance, despite being otherwise creditworthy. The objective of the scheme is to address this market failure through a limited, revolving guarantee mechanism administered by the Housing Authority. NDSF committed €3,000,000 as ring-fenced funds to back the guarantees issued under the scheme, enabling the mobilisation of a significantly higher volume of home loan financing while safeguarding participating banks. As at 31 December 2025, there were no contributions paid out.

- 19.12 The project implemented by the Richmond Foundation concerns the establishment and relocation of the K.I.D.S. in Development Centre to new premises at Dar Fra Diego, Ħamrun. The objective of the project is to provide a safe, therapeutic, and structured environment for children and adolescents who have experienced trauma, neglect, domestic violence, or early exposure to substance abuse, with the aim of improving mental health outcomes and supporting long-term social inclusion. The National Development and Social Fund awarded a non-repayable social grant of up to €700,000 to support refurbishment works and the adaptation of the facility for specialised therapeutic, residential, and administrative use. As at 31 December 2025, there were no contributions paid out.

19.13 On 17 of February 2022, NDSF and SportMalta signed a Heads of Agreement for the €13,400,000 co-funding of the design-build development by SportMalta of the Malta Motorsport Hub and Racetrack facilities at rial Far. The high-level estimates of the project amounted to approximately €17,000,000 excluding V.A.T. In 2023, the grant has increased to €16,523,540. Total disbursements as at 31 December 2025 amounted to €2,025,213 (2024: €1,577,878)

19.14 On 24 of February 2022, NDSF and the Malta Football Association (MFA) entered into a Heads of Agreement on the €9,000,000 co-funding of the design-build development by the MFA of the National Football Centre at Ta' Qali. In 2023, this was increased to €9,950,000 which includes a €5,000,000 surety for a loan sanctioned by a bank. Hence, the committed amount of NDSF is €4,950,000.

In 2025, NDSF increased its approved support for the Malta Football Association's National Football Centre at Ta' Qali from €4,950,000 to €7,350,000. The additional funding of up to €2.4 million had been approved following a revised Cost to Completion exercise, which identified a funding shortfall arising from increased project completion costs.

The additional NDSF assistance had been utilised after the existing €5 million Malta Development Bank loan facility had been fully exhausted. The increase therefore reflected the additional costs incurred to complete the project and address the identified funding gap, while the underlying purpose of the assistance had remained unchanged and continued to be governed by the Social Grant Agreement and subsequent addenda.

Total disbursements as at year end amounted to €5,570,266 (2024: €4,993,295).

19.15 The INDIS Malta Community Projects initiative comprises four green space developments supported by a €2,900,000 funding from NDSF, aimed at enhancing environmental quality, promoting wellbeing, and providing accessible recreational spaces within industrial and urban areas. The projects include a new open green space at the Bulebel Industrial Estate, a public garden in Dingli, the renovation of an existing garden in Qormi, and a new family park in Siggiewi, collectively introducing thousands of square metres of landscaped areas for public use, with public access already granted to three of the sites. Designed to encourage outdoor activity, social interaction, and healthier lifestyles, the developments contribute to improved air quality, reduced urban heat, increased biodiversity, and long-term urban regeneration, delivering tangible benefits to local communities and workers while supporting environmental sustainability and social cohesion. Total disbursements as at year end amounted to €682,958 (2024: nil).

19.16 The Conservation of the Nymphaeum at the Argotti Botanic Gardens is a cultural heritage project supported by a €300,000 funding from NDSF and implemented by the Malta Tourism Authority in collaboration with the University of Malta and the University Research, Innovation and Development Trust. The project aims to restore and preserve a rare historic garden structure through a comprehensive conservation programme that combines advanced digital documentation, including 3D laser scanning, with specialised restoration and structural stabilisation works. Interventions address the deterioration of mosaic and architectural elements, improve drainage and moisture protection, and remove unsuitable past repairs, ensuring the long-term stability and accessibility of the monument. Once completed, the project will enhance the cultural value, visitor experience, and educational potential of the Argotti Botanic Gardens while contributing to heritage preservation and sustainable cultural tourism. As at 31 December 2025, there were no contributions paid out.

19.17 On 8 February 2024, NDSF approved a social grant of up to €5,000,000 to Sport Malta for the implementation of the National Olympic Committee (NOC) Malta High Performance Strategy. The funding is to be spread over a five-year period and is subject to the provision of annual budget allocations in line with the achievement of specific performance and strategic targets.

The Maltese Olympic Committee (MOC) has outlined its strategic objectives for the 2024-2028 period, with a strong focus on participation in major international sporting events. These include, among others, the Paris 2024 Summer Olympic Games, the 2027 Commonwealth Games, and the 2027 European Games.

Central to the strategy is the enhancement of support for high-performance athletes through the establishment of professional service centres, the implementation of structured athlete support schemes, and the development of talent identification and progression initiatives aimed at strengthening Malta's elite sporting pathway. Total disbursements as at 31 December 2025 amounted to €776,202 (2024: nil).

19.18 On 9 December 2024, the NDSF Board approved a co-financing contribution of €2,111,909, which was revised to €1,096,806 in 2025, towards the Ulysses Grove Project, out of a total project cost of €3,017,013, excluding VAT. The Ulysses Grove Project entails the redevelopment of the Ulysses Grove site in Rabat, Gozo, into a modern and sustainable public open space. The project includes landscaping works, pedestrian pathways, recreational and family-friendly areas, and supporting infrastructure, with a focus on accessibility, environmental sustainability, and community use. As at 31 December 2025, there were no contributions paid out

19.19 On 25 May 2026, the Fund entered into a Memorandum of Agreement with the Malta Football Association (MFA) to co-fund the National Youth Football Development Programme (2025–2028) with a Social Grant of €6,940,000. The programme aims to enhance Malta's youth football and futsal ecosystem by supporting national youth teams' international participation, developing grassroots initiatives, improving coaching and refereeing education, and promoting inclusion and player welfare. It seeks to foster healthier lifestyles, social inclusion, and talent development while strengthening domestic youth football structures. No disbursements were made as at 31 December 2025.

19.20 On 24 June 2025, the National Development and Social Fund (NDSF) granted in-principle approval for a social grant of up to €3,500,000 in support of Inspire Foundation's project, "Towards Tomorrow: Enhancing Services and Enriching Lives at Inspire, Marsascala."

The project involves the redevelopment and enhancement of Inspire Foundation's Marsascala premises, with the objective of improving existing facilities, expanding the range of services provided and creating new recreational, educational and therapeutic facilities for persons with disabilities and their families. The proposed development is also intended to strengthen community-based care through the establishment of an Educational and Community Hub and to increase the capacity and reach of Inspire's programmes.

The total project cost is estimated at €9,590,000. Against this background, NDSF's in-principle approval of up to €3,500,000 is intended to support Inspire in meeting part of the remaining financing requirement and facilitate the implementation of the redevelopment over the planned three-year project period. The funding proposal envisages the NDSF contribution being disbursed across the various phases of the project, while Inspire would seek to secure the balance of the required contribution through donations, fundraising initiatives and other private sources.

19.21 On 26 November 2025, the Fund approved a grant of €200,000 to the University of Malta for the GeneSphere Research Project. This initiative aims to strengthen Malta's biomedical research capabilities by advancing expertise in genetics, molecular biology, and data-driven healthcare. The project supports multidisciplinary research, training of young scientists, and international collaboration, contributing to improved health outcomes and the development of sustainable research capacity. No disbursements were made as at 31 December 2025.

19.22 During the year ended 31 December 2025, NDSF granted donations amounting to €71,000, of which €37,000 had been disbursed by year-end. During the year ended 31 December 2024, NDSF granted and paid donations amounting to €1,066,915, comprising €500,000 to the Malta Community Chest Fund, €350,000 to Dar tal-Providenza, and €216,915 to various other organisations.

Subsequent to the end of the reporting period of these financial statements and up until the date of approval of these financial statements, the Board of Governors further approved grants to a number of organisations amounting to €2,571,200.

20. Tax expense

The National Development and Social Fund, by virtue of an exemption from the Minister of Finance falls outside the scope of income tax, in terms of Article 12 (2) of the Income Tax Act (Cap. 123) of the Law of Malta.

21. Related parties

By virtue of the founding regulations, the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12), the National Development and Social Fund was constituted as a Government of Malta Agency.

All transactions and balances held with other state-controlled agencies and institutions are considered to be related party transactions. Transactions and/or balances held with other entities over which the governors have significant influence and/or control are also considered to be related entities.

As explained in Note 3.1, the Fund has entered into a discretionary portfolio management agreement with the Central Bank of Malta. The deposits held with the CBM are disclosed in Note 12.

Note 19 discloses the commitment entered into by the fund with the Housing Authority and Primary HealthCare, which is another Government agencies.

Note 15 disclosed the honoraria paid to the Board of Governors and salaries to the Chief Executive, who are also considered to be related parties, by virtue of their position in the agency.

As at 31 December 2025, NDSF held Malta Government Stocks and local treasury bills amounting to €278,307,155 (2024: €236,107,940) and €348,153 (2024: €4,961,435), respectively.

In 2024, the Fund held investments in the form of debt securities having a fair value of €497,005, issued by local entities over which one of the governors have significant influence. The governor, who resigned in September 2024, had declared their interest and refrained from participating in the discussion on the acquisition of such investments.

During 2017, the Fund acquired 2.88% of the shareholding of Bank of Valletta plc, a local credit institution over which the Government of Malta has significant influence by virtue of the latter's shareholding. The fair value of this investment as at 31 December 2025 was €34,942,044 (2024: €28,908,281).

22. Financial risk management

22.1 Financial risk factors

The Fund's activities expose it to a variety of financial risks: market risk (including price risk, foreign exchange risk and cash flow and fair value interest rate risk), credit risk and liquidity risk.

The Fund is also exposed to operational risks such as custody risk. Custody risk is the risk of loss of securities held in custody occasioned by the insolvency or negligence of the custodian.

Although an appropriate legal framework is in place that eliminates the risk of loss of value of the securities held by the custodian, in the event of its failure, the ability of the Fund to transfer securities might be temporarily impaired. As explained in Note 3.1, by virtue of the discretionary investment management agreements in place with the Central Bank of Malta, Bank of Valletta plc. has been appointed as custodian of the investment held by the Fund in the Discretionary Portfolio.

As referred to previously, the Fund expanded its discretionary portfolio by entering into agreements with BOV Asset Management Limited whereby the latter is being appointed as an investment manager for a defined amount of investments which will be managed on a discretionary basis. All other instruments in the Directed Portfolio are held through the Malta Stock Exchange.

The Fund's overall risk management programme seeks to maximise the returns derived for the level of risk to which the Fund is exposed and seeks to minimise potential adverse effects on the Fund's financial performance. The Fund's policy allows it to use derivative financial instruments to both moderate and create certain risk exposures.

All securities investments present a risk of loss of capital. The maximum loss of capital on debt securities is limited to the respective fair value.

The management of the risks emanating from the discretionary portfolio is carried out by the investment manager under the policies approved by the Board of Governors. The investment managers, by virtue of the agreements in place, reports results to the Board of Governors on the performance and risks arising from the portfolio under management. As for the directed portfolio, the Board of Governors manage the risks by creating an investment policy setting out the investment opportunities with the maximum return after a detailed market analysis. The Board provides written principles for overall risk management, as well as written policies covering specific areas, such as foreign exchange risk, interest rate risk, credit risk, the use of derivative financial instruments and non-derivative financial instruments and the investment of excess liquidity. The day-to-day management of the Directed Portfolio (Note 3.2) is delegated to management. As already explained, the Board of Governors, sets the strategy and risk appetite for the Directed Portfolio, which are detailed in the investment policy and exercises the necessary oversight in connection through its functions.

The Fund uses different methods to measure and manage the various types of risk to which it is exposed; these methods are explained below.

22.2 Market risk

(a) Price risk

The Fund is exposed to equity securities price risk and derivative price risk. This arises from investments held by the Fund for which prices in the future are uncertain. Where non-monetary financial instruments - for example, equity securities - are denominated in currencies other than the euro, the price initially expressed in foreign currency and then converted into euros will also fluctuate because of changes in foreign exchange rates. Section (b) 'Foreign exchange risk' below sets out how this component of price risk is managed and measured.

The investment strategy is clearly stated in the founding regulations and detailed further in the Fund's investment policy and discretionary portfolio management agreements with the Central Bank of Malta and Bank of Valletta. The Chief Executive Officer and the Investment Manager, as applicable, monitor the Fund's market exposures within the pre-determined investment restrictions on a regular basis. The overall market exposures are also monitored on a regular basis by the Board of Governors and the Investment Manager accordingly. The Fund Managers reports on a regular basis on the risks emanating from the portfolio under management. Details of the nature of the Fund's investment portfolio as at the reporting date are disclosed in Note 9.

All of the Fund's equity investments are traded in active markets. The Fund's policy requires that overall market position is monitored on a regular basis, as applicable, by Management and the Fund's Investment Managers and is reviewed on a monthly basis by the Board of Governors. Compliance with the Fund's investment policies are reported to the Board on a monthly basis.

At 31 December, the fair value of equities and related derivatives exposed to price risk were as follows:

	Fair value	
	2025 €	2024 €
Quoted equities - Directed	96,305,054	88,756,155
Quoted equities - Discretionary	73,882,537	57,941,429
Quoted equity related derivative assets - Discretionary	52,310	187,347
	170,239,901	146,884,931

The Fund also manages its exposure to price risk by analysing the investment portfolio by industrial sector. The table below is a summary of the significant sector concentrations within the equity portfolio.

	At 31 December	
	2025 Fund's equity portfolio (%)	2024 Fund's equity portfolio (%)
Financial	56	55
Industrial	5	5
Consumer	4	4
Collective investment schemes	24	25
Technology	8	8
Healthcare	1	1
Real estate	1	1
Other	1	1
	100	100

The sensitivity for equity price risk illustrates how changes in the fair value of equity and equity related securities will fluctuate because of changes in market prices whether those changes are caused by factors specific to the individual equity issuer or factors affecting all similar equity traded in the market. A 10% increase/(decrease) in equity and equity-related prices would result in an increase/(decrease) in profit or loss of €17,018,759 (2024: €14,669,758) and, consequently, an increase/(decrease) in net assets attributable to holders/equity by the same amount.

(b) Foreign exchange risk

The Fund operates internationally and holds both monetary assets denominated in currencies other than Euro. Foreign currency risk, as defined in IFRS 7, arises as the value of future transactions, recognised monetary assets and monetary liabilities denominated in other currencies fluctuate due to changes in foreign exchange rates.

In accordance with the Fund's policy, the Investment Manager monitors the Fund's foreign exchange exposure on a regular basis and the Board of governors review it during their regular meetings.

As at 31 December 2025, the Fund's exposure to foreign exchange risk pertains only to the Fund's monetary assets, which are denominated in a currency other than the functional currency. The Fund's monetary assets are the foreign currency denominated investments, principally represented a mix of USD19,986,187 (2024: USD17,667,496), GBP723,332 (2024: GBP1,000,855) and JPY3,178 (2024: JPY71,212) which are not considered to be significant in the context of the total amount base of the Fund. The strengthening or weakening of the functional currency by 10% against other currencies with all other variables held constant, would result in an impact on profit for the year of €2,070,634 (2024: €1,859,714).

(c) Cash flow and fair value interest rate risk

Interest rate risk arises from the effects of fluctuations in the prevailing levels of markets interest rates on the fair value of financial assets and liabilities and future cash flow. The Fund holds fixed interest securities that expose the Fund to fair value interest rate risk. The Fund does not hold a floating rate debt, and accordingly the Fund is not subject to cash flow interest rate risk.

The Fund's investment policy, as approved by the Board of Governors, requires the Management, and as applicable, the Investment Manager to manage this risk by measuring the mismatch of the interest rate sensitivity gap of financial assets and liabilities and calculating the average duration of the portfolio of fixed interest securities. The average effective duration of the Fund's portfolio is a measure of the sensitivity of the fair value of the Fund's fixed interest securities to changes in market interest rates.

The fair value sensitivity for fixed rate instruments is performed in respect of debt financial investments measured at FVPL. An increase of 25 basis points in the yield to maturity of each respective debt security would lead to a decrease in value of debt financial investments measured at FVPL amounting to €6.5 million (2024: €5.6 million). Likewise, a decrease of 25 basis points in interest rates would lead to an increase in value of debt financial investments measured at FVPL amounting to €5.2 million (2024: €3.8 million).

22.3 Liquidity risk

Liquidity risk is the risk that the Fund may not be able to generate sufficient cash resources to settle its obligations in full as they fall due or can only do so on terms that are materially disadvantageous.

The Fund's listed securities are considered readily realisable, as the majority are listed on reputable exchanges.

In view of the Public Administration Act, which regulates Government Agencies, the Government of Malta funds the operations of National Development and Social Fund's operations. Accordingly, the Board of Governors considers that the Fund is not exposed to liquidity risk.

The Fund's accruals and other liabilities are entirely repayable within one year from the end of the reporting period. The table below analyses the Fund's financial liabilities into relevant maturity groupings based on the remaining period at the end of the reporting period to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows. Balances due within twelve months equal their carrying balances, as the impact of discounting is not significant.

	Less than one year €	Between 1 and 2 years €	Between 2 and 5 years €	Total €
At 31 December 2025				
Lease liability	75,031	-	-	75,031
At 31 December 2024				
Lease liability	70,820	72,994	-	143,814

The table below presents the Fund's financial assets for which maturities are considered to be essential for an understanding of the timing of the cash flows based on the Fund's investment strategy.

	Less than 30 days €	1-6 months €	6-12 months €	More than 12 months €
At 31 December 2025				
Foreign debt securities	23,981,197	35,446,047	26,573,524	162,708,202
Local debt securities	-	557,153	40,760,540	339,922,167
	23,981,197	36,003,199	67,334,064	502,630,369
At 31 December 2024				
Foreign debt securities	3,788,288	1,495,150	3,357,753	112,577,760
Local debt securities	4,961,000	45,772,488	46,956,315	308,418,617
	8,749,288	47,267,638	50,314,068	420,996,377

22.4 Credit risk**(a) Introduction**

The Fund is exposed to credit risk, which is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation.

The Fund's significant exposures to credit risk as at the end of the reporting periods are analysed as follows:

	2025 €	2024 €
Financial assets measured at amortised cost:		
Cash and cash equivalents	15,450,414	75,761,073
Accrued interest receivable	9,473,767	4,163,419
Loan receivable	5,209,129	4,848,723
Financial assets measured at FVPL:		
Debt securities	629,948,829	527,327,371
	660,082,139	612,100,586

The Fund's exposures to credit risk are analysed in the statement of financial position and in the respective notes to the Financial Statements. The maximum exposure to credit risk at the end of the reporting period in respect of these financial assets is equivalent to their carrying amount. The Fund does not hold any collateral as security in this respect.

(b) Credit risk management

The Fund's policy to manage this risk is to invest in debt securities and hold balances with counter parties which have a minimum credit rating of BB+ as designated by a reputable rating agency.

Debt securities by rating category	2025 €	2024 €
AAA	45,267,431	69,262,608
AA+	18,302,320	4,184,963
AA	2,237,694	3,731,280
AA-	36,956,836	28,723,504
A+	48,584,747	276,025,763
A	14,156,359	4,499,123
A-	284,740,760	10,509,586
BBB+	17,240,245	11,018,103
BBB	84,922,761	50,711,214
BBB-	3,457,563	7,835,502
BB+	397,401	1,568,651
BB	205,661	-
BB-	296,149	-
Unrated	73,182,902	59,257,074
	629,948,829	527,327,371

The Fund also manages its exposure to credit risk by analysing the debt portfolio by industrial sector. The table below is a summary of the significant sector concentrations within the debt portfolio.

Sector	At 31 December	
	2025 Fund's debt portfolio (%)	2024 Fund's debt portfolio (%)
Government activity	71	75
Financials	26	18
Industrials	1	1
Others	2	6
	100	100

In accordance with the Fund's policy, the Investment Manager and the Board, as applicable, monitors the Fund's credit position on a regular basis; the Board of Governors reviews it on a monthly basis.

(c) Information on credit risk on other receivables and cash and cash equivalents

Cash and cash equivalents are mainly held by Central Bank of Malta on which no credit risks are deemed to arise in view of the nature and status of the counterparty.

Accrued interest receivable relates solely to interest earned on financial assets measured at FVPL and is recorded separately from the underlying investments. As the fair value of FVPL instruments already incorporates the credit risk of the issuer, the Fund considers the related accrued interest receivable to bear no separate credit risk.

(d) Information on credit risk on financial assets measured at amortised cost

The Fund assess on a forward-looking basis the expected credit losses ('ECL') on the basis of the 'three stage' model for impairment outlined by IFRS 9, based on changes in credit quality since initial recognition as summarised below:

- A financial instrument that is not credit-impaired on initial recognition is classified as 'Stage 1' and has its credit risk continuously monitored by the Fund. At initial recognition, an impairment allowance (or provision) is required for ECLs resulting from default events that are possible within the next 12 months ('12-month ECLs').
- If a significant increase in credit risk ('SICR') since initial recognition is identified, the financial instrument is moved to 'Stage 2' but is not yet deemed to be credit-impaired. An allowance (or provision) is required for ECLs resulting from all possible default events over the expected life of the financial instrument ('lifetime ECLs').
- If the financial instrument is credit-impaired, the financial instrument is then moved to 'Stage 3'. Assets in Stage 3 also carry a lifetime ECL allowance or provision.

As required by IFRS 9, the Fund applies a rebuttable presumption that a significant increase in credit risk (SICR) generally occurs when a financial asset is more than 30 days past due. Days past due are determined by counting the number of days since the earliest contractual due date in respect of which full payment has not been received.

The Fund's principal financial assets carried at amortised cost include loans receivable, cash and cash equivalents, and fixed-term deposits, the majority of which are assigned an investment-grade credit rating by recognised rating agencies such as Standard & Poor's and Moody's. Other financial assets within these categories that are not externally rated are considered by the Fund to have low credit risk in accordance with paragraphs 5.5.10 and B5.5.23 of IFRS 9. This assessment is based on the Fund's evaluation that the relevant obligors have a strong capacity to meet their contractual obligations and that adverse changes in economic or business conditions are not expected to significantly reduce their ability to fulfil those obligations.

The probability of default (PD) is derived from internally compiled statistics and other historical data, adjusted as necessary to incorporate forward-looking information. PD estimates represent the probability of default as at the reporting date for the purpose of calculating expected credit loss (ECL) allowances. Where insufficient internal historical default data is available, the Fund estimates PDs by reference to external information published by Moody's. Specifically, the Fund assigns a PD to each exposure based on the credit rating of the counterparty or issuer, using Moody's published default rates. Unrated counterparties are calibrated to Moody's default rates by reference to the external credit ratings of comparable financial assets.

The assessment of whether there has been a significant increase in credit risk since initial recognition is performed by evaluating changes in the risk of default occurring over the remaining expected life of the financial asset. Accordingly, the definition of default is a key input and incorporates both qualitative indicators (such as non-compliance with contractual terms and conditions and overdue status) and quantitative factors, where relevant.

The Fund considers a counterparty to be in default (and therefore credit-impaired and classified as Stage 3 for IFRS 9 purposes) when objective evidence indicates that contractual payments of either principal or interest are more than 90 days past due for any material credit obligation, and there are additional indicators suggesting that the counterparty is unlikely to pay its obligations.

This definition of default is applied consistently in the estimation of the probability of default (“PD”), exposure at default (“EAD”), and loss given default (“LGD”) across the Fund’s expected credit loss calculations.

Explanation of inputs

The ECL is measured on either a 12-month or on a lifetime basis depending on whether a significant increase in credit risk has occurred since initial recognition or whether an asset is considered to be credit impaired. Expected credit losses are the product of the PD, EAD and LGD.

The PD represents the likelihood of a counterparty defaulting on its financial obligation either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of the obligation. Accordingly, the 12-month and lifetime PDs represent the probability of default occurring over the next 12 months and the remaining maturity of the financial instrument, respectively.

EAD represents the expected exposure in the event of a default. The EAD of a financial asset is the gross carrying amount at default. The 12-month and lifetime EADs are determined based on the expected payment profiles.

LGD represents management’s expectation of the extent of loss on a defaulted exposure. Hence, the LGD represents expected credit losses on the EAD given the event of default, taking into account, among other attributes, the mitigating effect of any collateral value at the time it is expected to be realised and the time value of money.

Financial assets can be transferred between the different categories depending on their relative increase in credit risk since initial recognition. Financial instruments are transferred out of stage 2 if their credit risk is no longer considered to be significantly increased since initial recognition. Financial instruments are transferred out of stage 3 when they no longer exhibit any evidence of credit impairment.

Financial instruments are written off when there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Fund, and a failure to make contractual payments for a period of greater than a year past due. Credit losses are presented as net expected credit losses and other impairment charges within operating profit. Subsequent recoveries of amounts written off are credited against the same line item.

The loss allowance for the loan receivable as at 31 December reconciles to the opening loss allowance as follows:

	2025 €	2024 €
Loss allowance as at 1 January	9,916	-
Loss allowance recognised in profit or loss	5,516	9,916
Closing loss allowance as at 31 December	15,432	9,916

22.5 Capital risk management

The capital of the Fund is represented by the net assets. The upside and downside of each position is reviewed regularly by the Chief Executive Officer who reports to the Board of Governors. The Fund’s objective when managing capital is to safeguard the Fund’s ability to continue as a going concern in order to maintain a strong capital base to support the development of the investment activities of the Fund and to provide returns for stakeholders in line with the founding regulations.

22.6 Fair value estimation

The fair value of financial assets and liabilities traded in active markets are based on quoted market prices at the close of trading on the year end date. The Fund utilises the last traded market price for both financial assets.

An active market is a market in which transactions for the asset take place with sufficient frequency and volume to provide pricing information on an ongoing basis.

The carrying value less impairment provision of other receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Fund for similar financial instruments.

The fair value hierarchy has the following levels:

- Level 1 inputs are quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date;
- Level 2 inputs are inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly or indirectly; and
- Level 3 inputs are unobservable inputs for the asset or liability.

The table below presents the financial assets recognised in the statements of financial position at fair value by level of the fair value measurement hierarchy at 31 December:

2025	Level 1 €	Level 2 €	Level 3 €	Total €
Financial assets				
Discretionary portfolio				
Financial assets at fair value through profit or loss (FVPL)				
Listed equity securities	73,882,537	-	-	73,882,537
Listed debt securities	235,774,751	-	-	235,774,751
Listed derivatives	52,310	-	-	52,310
	309,709,598	-	-	309,709,598
Directed portfolio				
Financial assets at fair value through profit or loss (FVPL)				
Listed equity securities	96,305,054	-	-	96,305,054
Listed debt securities	394,174,078	-	-	394,174,078
	490,479,132	-	-	490,479,132

2024	Level 1 €	Level 2 €	Level 3 €	Total €
Financial assets				
Discretionary portfolio				
Financial assets at fair value through profit or loss (FVPL)				
Listed equity securities	92,834,416	-	-	92,834,416
Listed debt securities	156,647,972	-	-	156,647,972
Listed derivatives	187,347	-	-	187,347
	249,669,735	-	-	249,669,735
Directed portfolio				
Financial assets at fair value through profit or loss (FVPL)				
Listed equity securities	88,756,154	-	-	88,756,154
Listed debt securities	335,784,701	-	-	335,784,701
	424,540,855	-	-	424,540,855

There were no transfers between level 1, level 2 and level 3 during the year ended 31 December 2025 and 2024.

The level in the fair value hierarchy within which the fair value measurement is categorised in its entirety is determined on the basis of the lowest level input that is significant to the fair value measurement in its entirety. For this purpose, the significance of an input is assessed against the fair value measurement in its entirety. If a fair value measurement uses observable inputs that require significant adjustment based on unobservable inputs, that measurement is a Level 3 measurement. Assessing the significance of a particular input to the fair value measurement in its entirety requires judgement, considering factors specific to the asset or liability.

The determination of what constitutes 'observable' requires significant judgement by the Fund. The Fund considers observable data to be that market data that is readily available, regularly distributed or updated, reliable and verifiable, not proprietary, and provided by independent sources that are actively involved in the relevant market.

Investments whose values are based on quoted market prices in active markets, and are therefore classified within Level 1, include active listed equities, exchange traded derivatives, and active listed debt securities. The Fund does not adjust the quoted price for these instruments.

Financial instruments that are traded in markets that are not considered active and whose fair values are determined using quoted prices, dealer quotations, or alternative pricing sources supported by observable inputs are classified within Level 2 of the fair value hierarchy.

Level 2 instruments include positions that are not traded in active markets and/or are subject to transfer restrictions. Accordingly, their valuation may incorporate adjustments for illiquidity and/or non-transferability, based on available market information.

As at 31 December 2025 and 2024, the Fund does not hold any financial instruments classified within Level 2.

Investments classified within Level 3 have significant unobservable inputs, as they trade infrequently. Level 3 instruments include corporate debt securities. As observable prices are not available for these securities, the Fund has used valuation techniques to derive the fair value.

Level 3 valuations are reviewed on a regular basis by the management. The management considers the appropriateness of the valuation model inputs, as well as the valuation result using various valuation methods and techniques generally recognised as standard within the industry. In selecting the most appropriate valuation model the management performs back testing and considers which model's results have historically aligned most closely to actual market transactions.

As at 31 December 2025 and 2024, the Fund does not hold any financial instruments classified within Level 3.

Management has considered the fair value of the Fund's financial assets that are not measured at fair value in the statement of financial position, including loan receivable, fixed-term deposit, other current asset, other receivables, and cash and cash equivalents.

The fair value of the loan receivable has been assessed using a discounted cash flow valuation technique based on market-based inputs applicable to instruments with similar terms, credit risk and remaining maturity. The fair value of the fixed-term deposit has been assessed by reference to its contractual interest rate and remaining maturity.

Management has concluded that any difference between the carrying amounts and the respective fair values of these instruments is not material as at 31 December 2025. Accordingly, the carrying amounts are considered to be reasonable approximations of fair value.

The fair values of other current assets, other receivables, and cash and cash equivalents reflected in the financial statements are considered to be reasonable estimates of fair value, in view of the nature of these instruments and the relatively short period of time between their origination and expected realisation. Amounts attributable to other liabilities are also considered to approximate their fair values, as they are repayable within twelve months.

23. Statutory information

The National Development and Social Fund was established by virtue of Subsidiary Legislation 188.03, Individual Investor Programme of the Republic of Malta Regulations. Subsidiary Legislation 595.12 - National Development and Social Fund (Establishment as an Agency) established a separate legal personality to the fund as a Government Agency.

The office address of the National Development and Social Fund is at Blk B Orange Grove, Triq Birbal, Balzan BZN 9013, Malta.

Independent Auditor's report

To the Board of Governors of National Development and Social Fund



Report on the audit of the financial statements

Our Opinion

In our opinion:

- The financial statements give a true and fair view of the financial position of National Development and Social Fund (the 'Fund') as at 31 December 2025, and of the Fund's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards ('IFRSs') as adopted by the EU; and
- The financial statements have been prepared in accordance with the requirements of the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12)

What we have audited

National Development and Social Fund's financial statements, set out on pages 44 to 101, comprise:

- the statement of financial position as at 31 December 2025;
- the statement of comprehensive income for the year then ended;
- the statement of changes in net assets for the year then ended;
- the statement of cash flows for the year then ended; and
- the notes to the financial statements, comprising material accounting policy information and other explanatory information.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence

We are independent of the Fund in accordance with the ethical requirements of the Accountancy Profession (Code of Ethics for Warrant Holders) Directive issued in terms of the Accountancy Profession Act (Cap. 281) that are relevant to audits of financial statements in Malta and the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code). We have also fulfilled our other ethical responsibilities in accordance with these Codes.



Basis of accounting and restriction on distribution and use

We draw attention to Note 2.1 to these financial statements, which describes the basis of accounting. The financial statements are prepared for and only for the Governors to comply with the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12) and for no other purpose. As a result, these financial statements may not be suitable for another purpose.

Our report is intended solely for the purpose above and should not be distributed to or used by other parties. Our opinion is not modified in respect of this matter.

Other information

The Board of Governors is responsible for the other information. The other information comprises the Board of Governors' report and the Chief Executive Officer's Review of Operations (but does not include the financial statements and our auditor's report thereon).

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Board of Governors for the financial statements

The Board of Governors is responsible for the preparation of financial statements that give a true and fair view in accordance with IFRSs as adopted by the EU and the requirements of the Individual Investor Programme of Republic of Malta Regulations (S.L. 188.03) and National Development and Social Fund (Establishment as an Agency) Order (S.L. 595.12), and for such internal control as the Board of Governors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the Governors are responsible for assessing the Fund's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Governors either intend to liquidate the Fund or to cease operations, or have no realistic alternative but to do so.

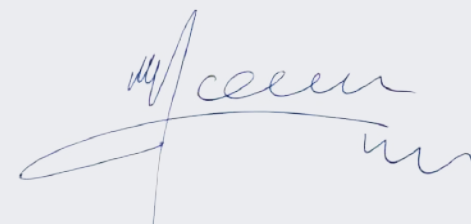
Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Fund's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Governors.
- Conclude on the appropriateness of Governors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Fund's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Fund to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with the Governors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.



Michael Formosa
Principal

For and on behalf of
PricewaterhouseCoopers
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Zone 5, Central Business District
Qormi
Malta

27 August 2026

Glossary of photography



Early morning walk in Mdina

pg. 5



Detail of Carmelite Priory Church

pg. 10



Rosette window in Casa Gourgion

pg.21



Casa Gourgion facade

pg. 23



Courtyard fountain in Palazzo Falson

pg. 11



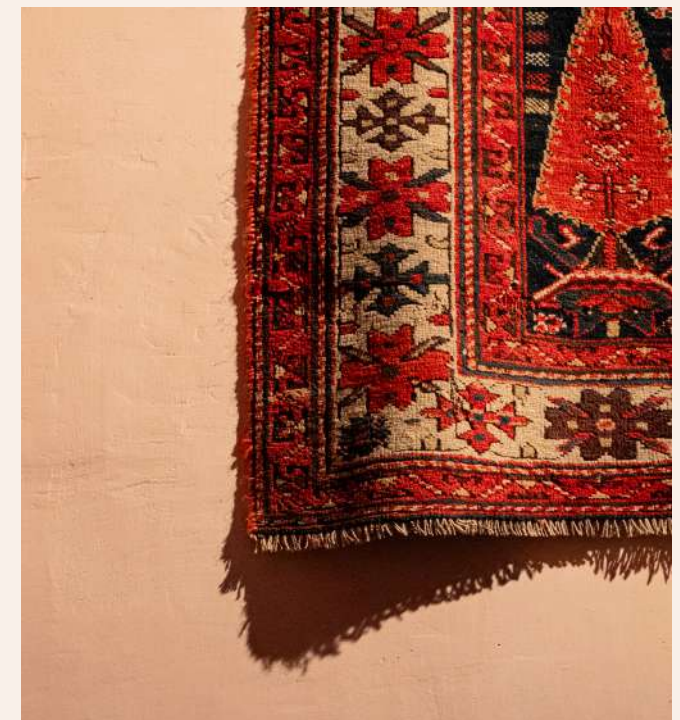
Gargoyles on Casa Gourgion's Facade

pg.13



Facade detail of the Cathedral Museum

pg. 28



Detail of a carpet in Palazzo Falson

pg. 30



Courtyard of the Cathedral museum pg.35



A sunlit door in the streets of Mdina pg. 40-41



Window of Palazzo Falson pg.49



Detail of Casa Gourgion's bookcase pg. 53



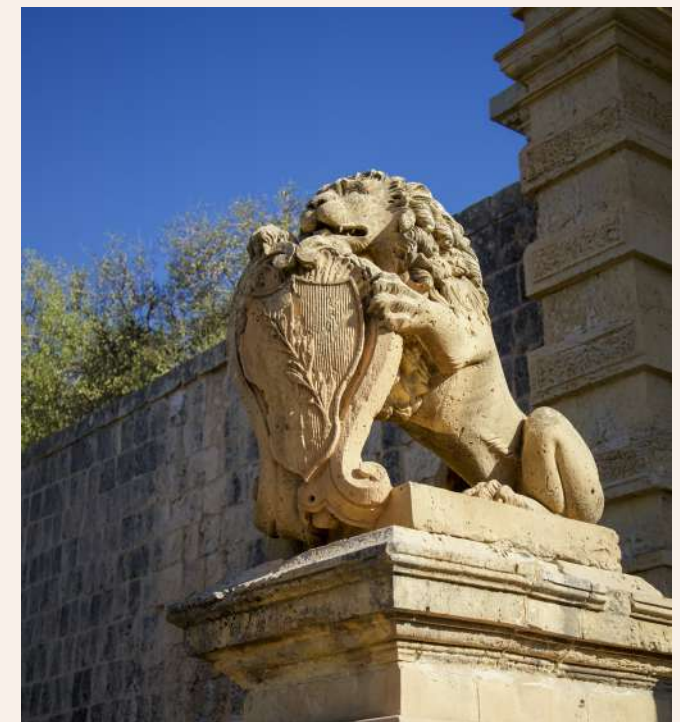
Maltese tiles on a wall pg. 42-43



One of Mdina's bell towers pg. 45



Mdina Cathedral pg. 57



Mdina gate's lion statue pg. 61

Notes



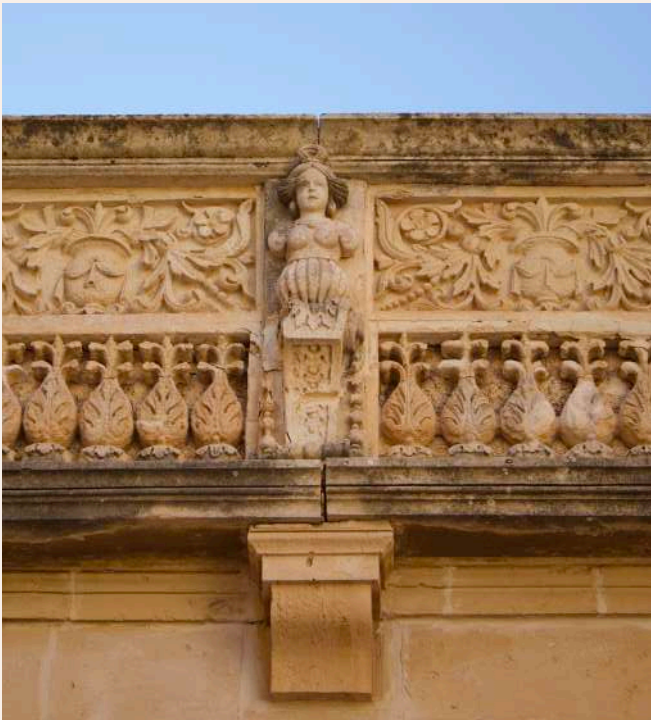
Decorative motif of Palazzo Falson pg. 71



Ca' Rezzonico style Murano glass chandelier inside the Mdina Cathedral pg. 81



Painted vault of the Mdina Cathedral pg. 103



Decorated palace ledge pg. 105

Notes

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